

CASE SCENARIO 1

A Ltd. is a top 1000 listed company engaged in manufacturing of edible oils having its registered office at Mumbai and its branches all over India. M/s HG & Co., Chartered Accountants, have been appointed as the statutory auditors of A Ltd. for the financial year 2024-25. CA H is the engagement partner for this assignment. The company's net worth is ₹ 500 crores, annual turnover is ₹ 1000 crores and net profit is of ₹ 5 crores during immediately preceding financial year 2023-24. During the course of audit, CA H made the following major observations:

- A Ltd. has constituted a Corporate Social Responsibility (CSR) Committee of the Board pursuant to Section 135 of the Companies Act, 2013. The CSR Committee has formulated and recommended to the Board a CSR Policy and has recommended the amount of expenditure to be incurred on the specified activities which shall be recognized as CSR spending. CA H observed that an amount of ₹ 20 lacs was unspent in respect of other than on-going projects relating to the CSR spending. CA H is exploring his reporting responsibilities for compliance under CARO, 2020.
- CA H during the course of audit noticed that Enforcement Directorate had issued show-cause notices for various non-compliances of Foreign Exchange Management Act and regulatory action against the company may be expected. The Board of Directors have not mentioned the same in their report as the outcome is uncertain. This is not reflecting anywhere in the financial statements, however, CA H thinks that it is relevant for the users' understanding of the financial statements.
- The company also has 2 subsidiaries B Ltd. and C Ltd. The auditors are required to prepare the standalone as well as the consolidated financial statements of the company. For the purpose of making current period consolidation adjustments, CA H has asked the company to provide with the financial statements and information of the subsidiaries. Both the subsidiaries are audited by other auditors.

- CA H in consultation with management, decided to visit 10 out of 15 branches of A Ltd., within a period of 15-20 days, situated in various states of India. Management decided to pay CA H advance of ₹ 5 lacs against the estimated expenses of ₹ 5.25 lacs on visits to be conducted as a part of services rendered. In terms of the discussion, ₹ 5 lacs was transferred to his bank account from which he has to meet all the expenses for visiting branches for the audit. However, he failed to keep the amount received from A Ltd. in a separate bank account.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. With regard to the unspent amount of ₹ 20 lacs, out of the following select the appropriate reporting responsibilities of M/s HG & Co. for compliance of CARO 2020:
 - (a) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule VII to the Companies Act within a period of six months of the expiry of the financial year.
 - (b) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule III to the Companies Act within a period of six months of the expiry of the financial year.
 - (c) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule VII to the Companies Act within a period of three months of the expiry of the financial year.
 - (d) Whether the company has transferred the unspent amount of ₹ 20 lacs to a Fund specified in Schedule III to the Companies Act within a period of three months of the expiry of the financial year.
2. How will CA H report the matter relating to the non-compliances under Foreign Exchange Management Act?
 - (a) CA H should include the matter in Emphasis of Matter Paragraph.
 - (b) CA H should include the matter in Other Matter Paragraph.

- (c) CA H should include the matter in Key audit matters.
 - (d) CA H should not report the matter as no regulatory action has been taken against the company as on the balance sheet date.
3. Which of the following is not a current period consolidation adjustment?
- (a) Adjustments relating to harmonising the different accounting policies followed by A Ltd. and B Ltd. & C Ltd.
 - (b) Adjustments to the financial statements for the recognized subsequent events.
 - (c) Determination of goodwill or capital reserve of B Ltd. and C Ltd. as per the applicable accounting standards.
 - (d) Determination of unrealised intra-group profits on assets acquired/ transferred from/to B Ltd. and/or C Ltd.
4. For failing to keep moneys in a separate bank account, will CA H be held guilty of professional misconduct under the Chartered Accountant Act, 1949 and its schedules thereto?
- (a) Yes, in this connection the Council has made specific suggestion that an advance received by a Chartered Accountant against services to be rendered and not kept in separate bank account is covered under Clause (10) of Part I of the Second Schedule and hence CA H will be held guilty of professional misconduct.
 - (b) No, in this connection the Council has made suggestion that an advance received by a Chartered Accountant against services to be rendered does not fall under Clause (10) of Part I of the Second Schedule and not keeping in separate bank account is valid hence CA H will not be held guilty of professional misconduct.
 - (c) Yes, any amount received from the client and not kept in a separate bank account falls under Clause (10) of Part I of the Second Schedule and hence CA H will be held guilty of professional misconduct.
 - (d) No, CA H will not be held guilty of professional misconduct since provisions of Clause (10) of Part I of the Second Schedule are

applicable only to professional accountant in service and not to professional accountant in practice.

CASE SCENARIO 2

M/s SQC & Associates is a firm of Chartered Accountants, specialising in audit and assurance services for the past 2 decades, having 6 partners with its headquarters at Thiruvananthapuram and branch offices at 3 locations in Kerala.

They are appointed as statutory auditors of Kochi Branch of KLM Bank Limited for the Financial Year 2024-25. The Bank branch has granted various types of advances to its customers including export advances. The auditors want to be sure that there is no revenue leakage in the branch and the auditor has conducted a detailed verification of compliance with the bank's policies and guidelines.

The following discrepancies are identified during verification of revenue leakage:

- (i) QT Ltd. was sanctioned a term loan of ₹ 5 crores at an interest rate of 9.5% p.a. as per the sanction letter. However, due to some technical problem, the bank's Core Banking System (CBS) reflects an interest rate of 8.5% p.a. w.e.f. 01/04/2024.
- (ii) The bank has sanctioned a working capital limit of ₹ 3 crores to NK Pvt. Ltd. The bank's circular mandates a processing fee of 1%, but only 0.5% was charged.
- (iii) The bank has sanctioned a Cash Credit (CC) limit of ₹ 4 crores to DEF Ltd., with a condition that stock statements must be submitted monthly. DEF Ltd. has not submitted stock statements for 3 months, triggering a penal interest of 2% p.a. as per the sanctioned terms.

M/s SQC & Associates are appointed as auditors of Easy Finance Limited, which is an NBFC company for the year 2024-25 for which CA S is the engagement partner. CA S is concerned with calculating the aggregate risk adjusted value of assets for reckoning the minimum capital ratio.

Following details are available from the Balance sheet of Easy Finance Limited as on 31st March, 2025:

- (i) Cash and bank balances including fixed deposits and certificates of deposits with banks - ₹ 8 crores
- (ii) Investments - Bonds of public financial institutions - ₹ 50 crores
- (iii) Current Assets - Loans to staff - ₹ 5 crores
- (iv) Fixed Assets (Net of Depreciation) - Furniture and Fixtures - ₹ 30 crores
- (v) Domestic Sovereign - State Government Guaranteed claims which are in default for 75 days - ₹ 60 crores

Further M/s SQC & Associates were appointed as statutory auditors of MRP Limited, a listed company, for the financial year 2024-25. It was observed during the audit that MRP Limited has carried out revaluation of its buildings and software assets. The revaluation was conducted by a Registered Valuer certified by the Insolvency and Bankruptcy Board of India (IBBI).

- As a result of the revaluation, the carrying value of its "Buildings" was increased. It represents 6% increase over the Gross carrying value of the "Buildings" class as at the beginning of the year. It represents 12% increase over the net carrying value of the "Buildings" class as at the beginning of the year.
- The "Software Assets" saw a downward revaluation adjustment. It constitutes 10% reduction over the Gross carrying value of the "software" class as at the beginning of the year. It constitutes 16% reduction over the net carrying value of the "software" class as at the beginning of the year.

M/s SQC & Associates are in the course of forming an opinion on the financial statements of MRP Limited. Based on the evaluation of the conclusions drawn from the audit evidence obtained, they have made the following observations:

- **Observation 1:** The Company procures raw materials from a large number of local and international suppliers. As on 31st March 2025, trade payables form a significant portion of total liabilities. A substantial number of supplier accounts were subject to reconciliation issues, delayed confirmations or required significant year-end adjustments. The management did not respond properly to the issues raised by the auditor. It was considered as a high risk area by the auditor. However, based on

other audit procedures, it was concluded that the trade payable balances had been appropriately recorded.

- **Observation 2:** A batch of finished goods worth ₹ 1.8 crores was found to be missing during the physical verification of inventory. It constituted a significant portion of the value of inventory of finished goods. The management stated that it was due to a clerical error in location mapping and claimed to have traced the goods post year-end. However, the documentation presented was insufficient and not independently verifiable.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. You are required to calculate the amount of revenue leakage calculated by the auditors for Kochi Branch of KLM Bank limited.
 - (a) ₹ 9,50,000
 - (b) ₹ 9,00,000
 - (c) ₹ 8,50,000
 - (d) ₹ 10,50,000
2. Select the correct option after calculating the aggregate risk adjusted value of above funded assets for reckoning the minimum capital ratio of Easy Finance Limited for the year ended on 31st March, 2025.
 - (a) ₹ 110 crores
 - (b) ₹ 92 crores
 - (c) ₹ 115 crores
 - (d) ₹ 52 crores
3. How will M/s SQC & Associates report under CARO, 2020, with reference to the revaluation of assets of MRP Limited?
 - (a) Report only the revaluation of software assets, mention that valuation is done by a Registered Valuer and specify the amount of change.

- (b) Report only the revaluation of buildings, mention that valuation is done by a Registered Valuer and specify the amount of change.
 - (c) Both the revaluation of buildings as well as software assets is not required to be reported.
 - (d) Both the revaluation of buildings as well as software assets is required to be reported, mention that valuation is done by a Registered Valuer and specify the amount of change.
4. What type of opinion or reporting M/s SQC & Associates should issue in their auditor's report of MRP Limited considering the two observations as per the applicable Standards on Auditing?
- (a) Issue an unmodified opinion as both matters have explanations from management and are not pervasive.
 - (b) Include Observation 1 in a Key Audit Matter (KAM) section and Observation 2 in Emphasis of Matter paragraph.
 - (c) Disclose Observation 1 under "Other Matter" paragraph and Qualify the opinion due to the material but not pervasive limitation of Observation 2.
 - (d) Disclose Observation 1 under "Key Audit Matter" and Qualify the audit opinion due to material but not pervasive limitation of Observation 2.

CASE SCENARIO 3

Ratnesh Limited (hereinafter referred to as 'The Company'), a listed entity, is in the business of hiring of Oil Rigs, is established since 2001. The Company is having its Head Office at Mumbai and having its operations across the country. The Company appointed MPR & Co., GKS & Co., YX & Associates and ABC & Associates as joint auditors for the year 2024-25. The professional work was divided by audit firms among themselves mutually. However, work relating to "Information processing" which is a part of the control activities, a component of Internal Controls of the company was allocated to MPR & Co. specifically and was not a part of the joint audit assignment. Due to shortage of resources, MPR & Co. took the help of subordinate staff of ABC & Associates for such verification.

While verifying the controls, subordinate staff of ABC & Associates observed the following control activities:

- (i) Actual performance was reviewed against budgeted one.
- (ii) Edit checks of input data and numerical sequence checks.
- (iii) Authorisation for access to computer programs and data files.
- (iv) Controls over the implementation of new releases of packaged software applications.

During audit, one of the joint auditors GKS & Co. observed that the Company has adopted a new IND AS which will be effective from 01.04.2026. Early adoption of the aforesaid IND AS is permitted as per extant guidelines. This early adoption of the new IND AS has a material effect on the financial statements of the Company. The material effect on the financial statements was disclosed in the notes to the financial statements. GKS & Co. performed various audit procedures to verify the same and it was found to be satisfactory in nature.

YX & Associates appointed Mr. C, as an expert, to verify the actuarial valuation done by the company. They performed the following specific procedures to evaluate the relevance and reasonableness of Mr. C's findings and their consistency with other audit evidence for the audit purpose:

- (i) Performed corroborative procedures for observing Mr. C's work.
- (ii) Performed detailed analytical procedures to see whether Principles of materiality aspects considered.
- (iii) Reviewed the data for completeness and internal consistency.
- (iv) Verified the origin of the data.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Which of the activities verified by the subordinate staff of ABC & Associates pertains to the Control Activities - Information processing?
Options:
 - (a) (i) & (ii)
 - (b) (iii) & (iv)
 - (c) (ii) & (iii)
 - (d) (ii) & (iv)
2. Which of the following are not the specific procedures to evaluate the relevance and reasonableness of Mr. C's finding and consistency with other audit evidence?
 - (a) (i) and (ii)
 - (b) (iii) and (iv)
 - (c) (ii) and (iii)
 - (d) (i) and (iv)
3. The effect of early adoption of Ind-AS will be reported under which head in the Audit Report?
Options:
 - (a) Other Information
 - (b) Key Audit Matter

- (c) Other Matter Paragraph
 - (d) Emphasis of Matter Paragraph
4. Which audit firm is responsible for lapses in the audit procedures for testing of control activities relating to information processing, in terms of SA 299, in case the audit procedures are not performed professionally by subordinate staff of ABC & Associates?
- (a) MPR & Co. only
 - (b) Both MPR & Co. and ABC & Associates
 - (c) ABC & Associates only
 - (d) All the joint auditors will be responsible.

CASE SCENARIO 4

M/s FILE & Co. is a firm of Chartered Accountants consisting of 12 partners based at Mumbai. The audit firm is engaged in the audit of DEAF Ltd. for the financial year 2024-2025 for which CA L is the engagement partner.

During the course of the audit of DEAF Ltd., the following misstatements were identified:

- I. A calculation error in the depreciation schedule amounting to ₹ 1 lakh.
- II. Management's estimate regarding inventory valuation seemed aggressive, leading to an overstatement of ₹ 5 lakhs, which the auditor deemed unreasonable.
- III. A sample audit revealed an error in sales invoices amounting to ₹ 60,000 and the population of similar invoices totalled ₹ 1 crore. The auditor's best estimate of misstatement in population identified in the samples to the entire population is ₹ 6 lakhs.

CA L has determined a threshold of ₹ 75,000 as the amount below which misstatements would be considered clearly trivial.

Further:

- (i) The auditor communicated with those charged with governance regarding uncorrected misstatements and their effect and requested to them that uncorrected misstatements be corrected.
- (ii) The management corrected the inventory valuation issue but did not correct the depreciation error or the error in sales invoices amounting to ₹ 60,000, considering the immateriality.
- (iii) After evaluating the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements, CA L is concerned on the documentation aspect with reference to the relevant Standard on Auditing.

M/s FILE & Co. is also the statutory auditors of Purple Pvt. Ltd., a manufacturing company, which has been severely impacted by economic downturns and

operational inefficiencies. The company's cash flow statements reveal recurring negative cash flows, and its interim financial statements show a significant decline in profitability. Additionally, Purple Pvt. Ltd. has defaulted on loan covenants, and on-going litigation poses a risk of substantial financial liabilities. Management has stated their plans to mitigate these challenges by restructuring debt, securing additional funding from related parties, and reducing operational costs. However, no formal documentation supporting these plans has been provided yet.

M/s FILE & Co. have identified the events and conditions in the case of Purple Pvt. Ltd. which cast significant doubt on the entity's ability to continue as a Going Concern, and auditor needs to obtain sufficient appropriate audit evidence to determine whether or not material uncertainty exists and gather evidence including of mitigating factors.

M/s FILE & Co. is planning to perform the following additional procedures:

- (i) As long as management provides a representation letter stating their plans to address financing difficulties the auditor is not bound by the terms of breached loan agreements.
- (ii) Confirm the existence, legality, and enforceability of arrangements to provide or maintain financial support, both from related/third parties and the assessment of the financial ability of such parties to provide the promised support as immaterial.
- (iii) Evaluate the assumptions underlying cash flow, profit, and other relevant forecasts, considering historical accuracy and current market conditions.
- (iv) Considering whether existing facts and information have become available since the date of management's initial assessment that could impact the going concern conclusion.
- (v) Review minutes of meetings of shareholders, those charged with governance, and relevant committees for references to financial difficulties, plans for mitigating actions, or discussions on securing additional funding.
- (vi) If management has not yet performed an assessment, the entity is treated as not a going concern and issue a modified audit opinion without further evidence.

M/s FILE & Co. the statutory auditors of Crypto Ltd., a non-listed public company, carrying out manufacturing activity, have been identified for their quality review based upon risk based approach. However, Crypto Ltd. is neither covered under Rule 3 of NFRA Rules, 2018 nor referred to QRB by NFRA. The Quality Review Board (QRB) is entrusted with conducting a quality review of M/s FILE & Co.'s audit services. During the review, QRB identifies non-compliance with Standards on Auditing (SAs) in areas related to engagement documentation and independence. Meanwhile, NFRA receives a whistle blower complaint regarding audit irregularities in Glitch Ltd., a listed company, audited by FILE & Co. M/s FILE & Co. was charged with failure to identify related parties and transactions with them. Glitch Ltd. has made 95% of sales to a related party which was not identified as such in the annual report of the company. NFRA initiates an investigation under Section 132(4) of the Companies Act, 2013.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Which of the following options is correct regarding the classification and treatment of the identified misstatements of DEAF Ltd. under relevant Standard on Auditing?
 - (a) The ₹ 1 lakh error in depreciation schedule qualifies as a judgemental misstatement. Management's estimate regarding inventory, leading to an overstatement of ₹ 5 lakhs, which the auditor deemed unreasonable does not qualify as a misstatement.

A sample audit revealed an error in sales invoices amounting to ₹ 60,000 is a factual misstatement.
 - (b) The ₹ 1 lakh error in the depreciation schedule is a judgemental misstatement.

The inventory valuation overstatement of ₹ 5 lakhs is a factual misstatement.

The invoice-related error does not qualify as a misstatement as the individual error is below the trivial threshold.

- (c) The ₹ 1 lakh error in the depreciation schedule is a factual misstatement.

The inventory valuation overstatement of ₹ 5 lakhs is a projected misstatement.

The auditor's best estimate of misstatement of population is a judgemental misstatement.

- (d) The ₹ 1 lakh error in the depreciation schedule is a factual misstatement.

The inventory valuation overstatement of ₹ 5 lakhs is a judgmental misstatement. The auditor's best estimate of misstatement of ₹ 6 lakhs to entire population is a projected misstatement.

2. Which of the following actions is not required as part of the auditor's documentation for the identified misstatements of DEAF Ltd.?

- (a) Justifications for not communicating identified misstatements to those charged with governance.
- (b) Recording the predetermined threshold of ₹ 75,000 as the amount below which misstatements would be considered clearly trivial.
- (c) Listing all identified misstatements, including the inventory misstatement, even if corrected by management.
- (d) The auditor's conclusion as to whether uncorrected misstatements are material, individually or in aggregate, and the basis for that conclusion.

3. Based on the listed additional procedures, which of the following are the inappropriate actions for the auditor to take decision on Going Concern in the case of Purple Pvt. Ltd.?

- (a) (i), (ii), (iii), (iv)
- (b) (i), (ii), (iv), (vi)

(c) (ii), (iii), (iv), (vi)

(d) (iii), (iv), (v), (vi)

4. Which of the following statements is most appropriate in the context of the roles of QRB and NFRA?

(a) QRB is empowered to review the quality of audit services for both Crypto Ltd. and Glitch Ltd. since it oversees all entities audited by ICAI members.

(b) NFRA cannot investigate Glitch Ltd. as it falls under QRB's jurisdiction due to the audit being performed by ICAI members.

(c) QRB can review the quality of audit services of Crypto Ltd.; but cannot review the quality of audit services of Glitch Ltd.

(d) NFRA and QRB have overlapping jurisdiction for listed entities, and either body can independently investigate Glitch Ltd.

CASE SCENARIO 5

M/s TAG & Associates, a Chartered Accountant firm was appointed by Comptroller and Auditor General to conduct performance audit of Wind power Ltd., a public sector undertaking of Government of India for the financial year 2024-25. Wind power Ltd. is engaged in generation of wind power with setting up of wind power plants at distinct locations in the country. The audit is assigned with the objective and systematic examination of evidence for the purpose of providing an independent assessment of the performance of organization, program, activity, or function in order to provide information to improve public accountability and facilitate decision-making by parties with responsibility to oversee or initiate corrective action.

The audit firm is concerned with Planning for Performance Audit.

The audit manager Mr. G suggested the following procedures in the following sequence of steps for conduct of Performance audit:

- (1) Understanding the entity/programme
- (2) Defining the objectives and the scope of audit
- (3) Deciding audit approach
- (4) Developing audit questions
- (5) Determining audit criteria
- (6) Establishing time table and resources
- (7) Preparing Audit Design Matrix
- (8) Assessing audit team skills and whether outside expertise required
- (9) Intimation of Audit programme to audit entities

Further, in the course of performance audit of Wind power Ltd., the engagement partner CA JP entrusted the audit work to four team members namely Mr. P, Mr. Q, Mr. R, Mr. S. The audit team is initially concentrated in deciding audit approach. CA JP suggested that there is no uniform audit approach prescribed that can be applicable to all types of subjects of performance audits. CA JP

asked his team members to suggest a method for conducting the Performance audit.

- Mr. P suggested a method which involves a descriptive analysis of an entity, scheme or a programme.
- Mr. Q suggested a method which involves examination of available data relating to financials like earnings, revenue, or data relating to programme implementation like details of beneficiaries etc.
- Mr. R suggested a method which involves collecting information from members of a population to assess the interrelation of events and conditions.
- Mr. S suggested a method which involves review of the systems in place for planning, conducting, checking, and monitoring the activity.

CA JP analysed the methods suggested by each team member.

M/s TAG & Associates were appointed as statutory auditors of Indore Main branch of a public sector bank for the financial year 2024-25. Advances generally constitute a major part of the assets of the branch. There are substantial number of borrowers to whom variety of advances are granted. Hence, they felt that audit of advances requires major attention. M/s TAG & Associates are primarily concerned with obtaining evidence about the following while carrying out audit of advances:

- Amounts due to the bank are appropriately supported by loan documents.
- The stated basis of valuation of advances is appropriate and properly applied and recoverability of advances is recognized in their valuation.
- Advances are disclosed, classified and described in accordance with recognized accounting policies and practices and relevant statutory and regulatory requirements.
- Appropriate provisions towards advances are made as per RBI norms, accounting standards and generally accepted accounting practices.

Audit approach of advances should encompass designing appropriate audit procedures to obtain audit evidence in all these areas.

The engagement partner, CA R assigned the focus areas in advances to the members of audit team as follows:

Mr. X was assigned to focus on evaluation of internal control on advances.
Mr. Y was assigned to focus on substantive audit procedures on advances.
Mr. Z was assigned to focus on recoverability of advances.

Further during the course of audit, it was observed that in the case of Kiran Ltd., a trading company which has availed a cash credit facility of ₹ 10 crore from Indore Main branch, the drawing power was not arrived at by bank.

As of 31st March 2025, the following details are provided regarding its stock, receivables (with ageing analysis), and creditors for calculating the Drawing Power (DP):

Particulars	Amount (₹ in lakhs)	Remarks
Total Stock	900	Includes damaged stock of ₹ 60 lakhs.
Total Receivables (Debtors)	800	Ageing details provided below.
Creditors for Stock	140	Related to stock financed by creditors.
Margin on Stock	25%	As per bank sanction terms.
Margin on Receivables	40%	As per bank sanction terms.
Sanctioned Cash Credit Limit	1000	

Debtors' Ageing Analysis:

Age Bucket	Amount (₹ in lakhs)
0 - 30 days	250
31 - 60 days	200
61 - 90 days	250
> 90 days (Overdue)	100
Total Receivables	800

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. CA JP, the engagement partner is satisfied with the procedures suggested by audit manager but he is not convinced with the sequence of steps while planning the performance audit of Wind power Ltd. He seeks your advice in suggesting the correct sequence after rearranging them. You are required to select the correct option from the following:
 - (a) Step 1, 2, 6, 4, 5, 3, 7, 8, 9
 - (b) Step 1, 2, 4, 3, 5, 7, 6, 8, 9
 - (c) Step 1, 2, 3, 5, 4, 8, 6, 7, 9
 - (d) Step 1, 2, 5, 3, 4, 8, 7, 6, 9
2. As regards the method suggested for conducting performance audit of Wind power Ltd., by which team member do you think that it may not be possible for the auditor to work with complete data due to its high volume and in such cases sampling techniques are required to be used?
 - (a) Mr. P
 - (b) Mr. Q
 - (c) Mr. R
 - (d) Mr. S
3. The following audit procedures are undertaken by the audit team in relation to audit of advances of the Indore Main branch:
 - (i) Examine existence, enforceability, and valuation of securities in respect of securities requiring registration.
 - (ii) Verify correctness of master data of loan accounts updated in CBS. Check parameters like instalments, EMI, rate of interest, tenure of loans etc.
 - (iii) Examine whether system laid down in bank for review/renewals of advances is being followed.

- (iv) Examine accounts identified to be problem accounts but which have not yet slipped into NPA category. This can be done by obtaining list of SMA1 and SMA2 borrowers from the bank and same can be considered for selection of problematic accounts.
- (v) Review auditor's reports in case of borrowers having credit facilities from the banking system beyond a cut-off limit fixed by board of directors of bank.

From the above, identify the audit procedures that Mr. Y should focus upon.

- (a) (i), (ii), (iii)
- (b) (ii), (iv), (v)
- (c) (ii) & (iv)
- (d) (iii) & (iv)

4. What is the Drawing Power (DP) available to Kiran Ltd. as of 31st March 2025?

- (a) ₹ 1005 lakhs
- (b) ₹ 1000 lakhs
- (c) ₹ 945 lakhs
- (d) ₹ 990 lakhs

CASE SCENARIO 6

M/s GDP Associates, a renowned firm of Chartered Accountants consisting of 15 partners was appointed as statutory auditors for the Financial Year 2024-25 of SYNC Technology Ltd., a technology focused engineering company engaged in turnkey electronics manufacturing services, specializing in precision manufacturing for diverse end-use industries including the automotive, healthcare, IT, industrial appliances, energy management, water purification, power supply and consumer products industries. The company's portfolio includes memory, SSDs, motherboards, power adapters, and systems integration.

In conducting an initial audit engagement, the objective of the M/s GDP Associates is to obtain sufficient appropriate audit evidence about whether Opening balances contain misstatements that materially affect the current period's financial statements; and appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework. The company's prior year financial statements were audited by M/s JK Associates, but the predecessor auditor's report was modified due to the non-disclosure of certain liabilities. The opening balances include significant provisions and carry forward adjustments.

M/s GDP Associates decides to use sampling to test compliance with internal controls over revenue recognition. As part of the audit of SYNC Technology Ltd., M/s GDP Associates is performing sampling for tests of controls and substantive procedures. At the end of the sampling process, the auditor needed to conclude on whether the sampling results provided a reasonable basis for conclusions about the population tested.

During testing, the following scenarios arose:

- (1) A selected item could not be tested because supporting documentation was unavailable. The auditor is unable to apply the designed audit procedures since documentation relating to sales is lost, like the sales

order record, sales invoice, document for dispatch.

- (2) A deviation was identified in the sample that could potentially indicate a misstatement in the population.
- (3) The auditor found an item that seemed anomalous but required further procedures to confirm it was not representative of the population.

As part of audit, to confirm the accounts receivable balances with customers, M/s GDP Associates sends confirmation requests to SYNC Technology Ltd.'s top 50 customers, whose account balances represent 80% of the company's total receivables. The auditor sends confirmation requests to confirm balances of cash held in bank accounts and outstanding loans with the bank. The auditor also sends confirmation requests to 200 small suppliers with low-value account balances.

The following events occur during the confirmation process:

- (1) Out of the 50 positive confirmation requests, 10 responses indicate agreement with the balances, 5 responses indicate discrepancies, and 35 do not respond.
- (2) One response to a positive confirmation appears unreliable due to discrepancies in the customer's letterhead and inconsistent information.
- (3) The 100 negative confirmation requests receive no responses.
- (4) In the case of non-response, the audit firm examined subsequent cash disbursements, email correspondences, and other records like goods received notes.

Further M/s GDP Associates engaged an external IT expert to evaluate the entity's cyber security framework, a significant area of risk identified during risk assessment. M/s GDP Associates and the expert held discussions to finalize the terms of the engagement, which included:

- (1) The expert's role in assessing the robustness of SYNC Technology Ltd.'s cyber security systems.
- (2) The communication protocol, specifying that the expert would provide interim oral reports during the engagement and a formal written report

upon conclusion.

- (3) The need for confidentiality agreements, as the entity requested additional restrictions on the disclosure of sensitive cyber security information.
- (4) The identification of specific audit team members responsible for liaising with the expert and facilitating communication between the expert and the entity.

During the audit, the following issues arose:

- The expert delayed submitting the formal report, citing unclear communication about the expected scope of work.
- The entity expressed concerns about the confidentiality provisions not being adequately addressed.
- The expert had limited interaction with the auditor, leading to misalignment on the interim findings.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Considering the factors influencing audit procedures for opening balances, which of the following is the most appropriate course of action under relevant Standard on Auditing?
 - (a) Perform audit procedures in prior period to obtain evidence relevant to opening balances or evaluate whether prior period's closing balances have been correctly brought forward.
 - (b) Evaluate the effect of the matter giving rise to modification in the predecessor auditors M/s JK Associates' report, with respect to the current period's financial statements.
 - (c) Assume the opening balances are immaterial since the predecessor auditors, M/s JK Associates issued a modified opinion and focus only on current year's transactions.

- (d) Accept the accounting policies applied to the opening balances based solely on management's assertion, provided they appear consistent with current period's policies.
2. Based on SA 530, which of the following is the most appropriate response for the auditor in handling these situations while performing sampling tests and procedures?
- (a) If the audit procedure is not applicable to the selected item, then the auditor shall perform only the alternative procedure but not on a replacement item.
 - (b) In case when the auditor considers a misstatement or deviation discovered in a sample to be an anomaly, the auditor shall obtain a high degree of certainty that such misstatement or deviation is representative of the population.
 - (c) Rely solely on the results of the sample and assume that any deviations identified are immaterial to the population.
 - (d) If the auditor is unable to apply the designed audit procedures, or suitable alternative procedures, to a selected item, the auditor shall treat that item as a misstatement, in the case of tests of details.
3. Which of the following is the most appropriate for M/s GDP Associates in response to the events that occurred when performing external confirmation procedures to obtain relevant and reliable audit evidence in accordance with relevant Standard on Auditing?
- (a) The failure to receive a response to a negative confirmation request explicitly indicate receipt by the intended confirming party of the confirmation request or verification of the accuracy of the information contained in the request.
 - (b) Confirming parties also may be more likely to respond indicating their disagreement with a confirmation request when the information in the request is in their favour, and less likely to respond otherwise.

- (c) Non-response for negative confirmation does not mean that there is some misstatement as negative confirmation request itself is to respond to the auditor only if the confirming party disagrees with the information provided in the request.
 - (d) The auditor shall use negative confirmation requests as the sole substantive audit procedure when he is aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests.
4. M/s GDP Associates are concerned with SA 620, which deals with the auditor's responsibilities regarding the use of external IT expert when that work is used to assist the auditor in evaluating cyber security framework. Which of the following is incorrect option in relation to agreement with the auditor's expert?
- (a) When the work of the auditor's expert relates to the auditor's conclusions regarding a significant risk, only a formal written report at the conclusion of that expert's work may be appropriate while oral reports as the work progresses are not required.
 - (b) Ensure that the nature, scope, and objectives of the expert's work are agreed upon in writing, including the timeline for deliverables.
 - (c) Identification of specific partners or staff, who will liaise with the auditor's expert, and procedures for communication between that expert and the entity, assists timely and effective communication, particularly on larger engagements.
 - (d) It is necessary for the confidentiality provisions of relevant ethical requirements that apply to the auditor also to apply to the auditor's expert.

CASE SCENARIO 7

WYZ Ltd., incorporated during the year 2002-03, is a leading unicorn startup and top manufacturer of silicon wafers, with two advanced plants and over 6,000 employees. As a pioneer in its industry to be listed on the stock exchange, WYZ Ltd. underscores its longstanding and influential presence in the financial market. The company consistently complies with SEBI's Listing Obligations and Disclosure Requirements Regulations of 2015, ensuring regulatory adherence and maintaining credibility among investors and stakeholders.

Considering the nature, size and extent, the company has appointed M/s KAP & Co. and M/s BMS & Co. as their joint auditors. Both the Firms divided the work in accordance with the SA 299, shared the allocation of task to Those Charged with Governance and started conducting the audit procedures.

During the audit engagement, M/s KAP & Co. was assigned to verify the Property Plant & Equipment (PPE) Register. Mr. K, the engagement partner of M/s KAP & Co., carried out the verification process, however, he did not maintain any documentation of the same. Additionally, he did not perform impairment testing on the PPE at the end of the financial year.

Mr. B, the engagement partner of M/s BMS & Co., was responsible for verification of procure to pay process (P2P). However, he was informed by management that Mr. E, their Internal Auditor, has already verified P2P Process and carried out relevant audit procedures and thereby he relied on the work of Mr. E. He neither conducted any independent audit procedure to evaluate the work of the internal auditor nor documented his conclusion regarding the evaluation of the adequacy of work of internal auditors.

Moreover, looking at the increase in the scale of business, the management of WYZ Ltd. took the decision to implement ERP in its business during the year and gave contract to INFO Ltd. to develop an ERP suitable for its business. The development of ERP was completed on Aug 12th, 2023. The management started adoption of ERP and replacing its old practices. The adoption took a span of 4 months and was successfully completed on Dec 3rd, 2023. The previous software did not have an audit trail feature and the audit trail was

operational from Dec 3rd, 2023. However, the auditors of the company have not reported anything on the above matter relating to the audit trail in their main audit report.

In addition to the above, the WYZ Ltd., has one Indian wholly owned subsidiary, ABC Private Ltd., who is in the business of acquisition of shares and securities. M/s PQR & Co. are the auditors of ABC Private Ltd.

The important financial information of ABC Private Ltd. is as under:

Sr. No	Particular	Amount (₹)
1.	Paid-up Capital	₹ 67 Lakhs
2.	Loans and Borrowings from Financial Institution	₹ 72 lakhs
3.	Turnover	₹ 154 lakhs
4.	Reserve and Surplus	₹18.36 lakhs

Based on the above case scenario, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

- Mr. K, the engagement partner of M/s KAP & Co, failed to maintain any documentation of the whole verification process and did not perform impairment testing on the PPE at the end of the financial year. Select the appropriate option as per SA 299.
 - Mr. K is severally responsible for his own actions and the said work was his responsibility.
 - No, Mr. B & Mr. K are jointly responsible as they both were joint auditors.
 - Mr. K is responsible as well as Mr. B is responsible, since Mr. B was compulsorily required to verify the work of Mr. K and he has not verified the same.
 - Neither Mr. K nor Mr. B is liable for the actions of Mr. K.
- The management of the company has adopted a new ERP system and accordingly, the audit trail was maintained from Dec 03rd, 2023 only in the new ERP System. Whether the action of auditors with respect to reporting

requirement of audit trail was justified?

- (a) Yes, the action of auditors was justified as it was the first year of implementation of ERP. Hence the auditors are not liable to report the same.
- (b) Yes, the action of auditors was justified as the audit trail was operational during the year and hence the auditors are not liable to report the same.
- (c) No, the action of the auditors was not justified as the audit trail was not operational throughout the year and hence it is the duty of the auditors to report the same in the main audit report.
- (d) Yes, the action of the auditors was justified as the audit trail need not to be reported in the main audit report.

3. Mr. B, engagement partner of M/s BMS & Co., was responsible for verifying Procure to Pay Process, he did not perform any procedure and relied upon the work of Internal Auditor, without keeping any documentation. Which of the following is correct as per SA 610?

- (a) Mr. B can rely on the work of the Internal Auditor. However, he must first discuss with Internal audit function and also evaluate the adequacy of work of Internal Auditor and must document the same regarding the evaluation of work of Internal Auditor.
- (b) Internal Auditor has already performed audit procedure on the P2P Process and hence the Statutory Auditor can rely on the work without any further audit procedure and documentation.
- (c) Audit procedure and the scope of Internal Audit are altogether different from Statutory Audit and therefore, the Statutory Auditor cannot use the work of Internal Auditor.
- (d) Internal Auditor has already performed audit procedure on the P2P Process and hence the Statutory Auditor can rely on the work of Internal Auditor after evaluating his work. However, Statutory auditor is not required to document the same.

4. Considering the above case, whether reporting under CARO, 2020 will be applicable to ABC Private Ltd.?
- (a) No, since the company is a private limited company.
 - (b) No, since the company is in the business of acquisition of shares and securities.
 - (c) Yes, since the company is wholly owned subsidiary of listed company WYZ Ltd.
 - (d) No, since the company is a small company as per the Companies Act, 2013.
5. While preparing a consolidated financial statement of WYZ Ltd., division of responsibility between auditors of WVZ Ltd. and auditor of ABC Private Ltd. should be reported in:
- (a) Emphasis of Matter Paragraph.
 - (b) Key Audit Matter Section.
 - (c) Going Concern Paragraph.
 - (d) Other Matter Paragraph.

CASE SCENARIO 8

M/s BNM & Associates, Chartered Accountants, are in the completion phase of the statutory audit of M/s FES Limited, a technology company, for the financial year ended 31st March 2025.

Before concluding the audit, there was a difference of opinion between the audit committee and the auditors as to which among the following are the areas which the auditor should take into account to determine “Key Audit Matter” as per SA 701:

- (I) During last quarter of the year, company’s income was significantly affected by fluctuations in foreign exchange rates, with inadequate hedging arrangements. The auditors had to evaluate the impact of these transactions on financial statements.
- (II) It was observed that the server maintenance work of company was likely prone to external access, which was an area of high risk as assessed and reported by management’s expert committee.
- (III) The auditor had to make important judgments in areas where the management of the company also used significant judgment. One key point was that the company depended heavily on a few major clients. While management believed that the market of the company was growing and would bring in more new clients, the auditors had to carefully consider this difference in view while reviewing the financial statements.

Following discussions, a mutual understanding was reached, and the audit of FES Limited was concluded smoothly.

Subsequently, BNM & Associates came to know about a tender floated by the Dwarka Municipal Corporation for computerisation of its records, requiring an earnest deposit of ₹ 85,000. BNM & Associates has one of its partners residing in Dwarka, hence he persuaded the firm to apply for the tender and paid the earnest deposit. However, another partner of the firm was of the view that such an act would lead to professional misconduct and insisted on withdrawing the

tender application. The firm decided to approach an experienced CA before withdrawing the tender application and went on focusing on other assignments.

BNM & Associates also commenced the statutory audit of Cash Limited, a banking company headquartered in India. During the audit, the following observations were made:

- (i) The staff and officers of the bank were frequently transferred from one position to another, without prior notice.
- (ii) Cash was test-checked daily and counted in full occasionally by another officer of the bank, apart from the cashier.
- (iii) Physical custody of cash was solely maintained by the senior-most officer at the branch.
- (iv) Unpaid cheques received through outward clearing were securely stored in the bank's lockers.

After a detailed discussion and review of internal controls and practices, the firm finalised and issued the audit report for the financial year.

CA M, a partner at BNM & Associates, firmly believed that one should always pursue their passion, regardless of their profession or business. Driven by this belief, he engaged in the following activities beyond his Chartered Accountancy practice:

- (1) Part-time employment with a Non-Profit Organisation based in Noida.
- (2) Involved in agricultural activities on his personally owned agriculture land located outside Bangalore.
- (3) Tutorship as a part-time faculty member at a private educational institute in Chennai.
- (4) Holding an honorary office leadership in a charitable educational organisation in Trivandrum.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. As per SA 701, "Communicating Key Audit Matters in the Independent Auditor's Report", which of the above-mentioned areas should the audit committee and the auditors consider while determining the 'Key Audit Matters'?
 - (a) (I) & (III).
 - (b) (II) only.
 - (c) (I) & (II).
 - (d) (I), (II) & (III).
-
2. Assuming the role of the auditor of Cash Limited, based on the above observations, which aspects would you report as control failures, and what would be your rationale for considering them as such?
 - (a) (i) & (ii) – The frequent transfer of staff without prior notice suggests a lack of adequate control within the HR department. Similarly, permitting someone other than the designated cashier to verify and fully count the cash reflects an absence of proper controls over cash handling.
 - (b) (i) only – The frequent transfer of staff without prior notice indicates that the HR department is not having a proper control in its functions.
 - (c) (ii) & (iv) – Permitting someone other than the designated cashier to verify and fully count the cash reflects an absence of proper controls over cash handling. Further, any unpaid cheques received in outward clearance needs to be thrashed by the bank as they cannot be held by the bank in its custody.
 - (d) (iii) & (iv) – Cash should always be maintained under the joint custody of two authorised officers, as entrusting it to a single individual poses a significant control risk. Additionally, any unpaid cheques returned during outward clearance should either be dispatched to the customers at their recorded addresses or the

customers should be appropriately notified to collect them from the bank.

3. Among the various passion-driven activities undertaken by CA M as discussed in the case, which of these are generally permitted by the Institute of Chartered Accountants of India (ICAI)?
 - (a) (1) & (3).
 - (b) (3) only.
 - (c) (2) & (4).
 - (d) (1), (2) & (3).
4. According to the provisions of the Chartered Accountants Act, 1949, under which clause would CA M be guilty of professional misconduct?
 - (a) Clause 10 of Part I of First Schedule.
 - (b) Clause 2 of Part IV of First Schedule.
 - (c) Clause 11 of Part I of First Schedule.
 - (d) Clause 1 of Part III of Second Schedule.
5. Is there any professional misconduct involved in the submission of the municipality tender application by BNM & Associates under the Chartered Accountants Act, 1949?
 - (a) Yes. As per Clause 6 of Part 1 of the First Schedule, a CA in practice shall be guilty of professional misconduct if he responds to any tender.
 - (b) No. As per the Guidelines under the Act, a member can respond to any tender where the matter relates to anything other than audit. Further members can make earnest deposits in respect of a non-exclusive area for chartered accountants.
 - (c) Yes. Even though the Guidelines under the Act permit a member to respond to any tender where the matter relates to anything other than audit, he is not permitted to make any money deposit. Hence, the act of the firm is professional misconduct.

- (d) No. As per Guidelines under the Act, a member can respond to any tender which is requested by the Central government, State government or local government. Hence, there is no professional misconduct in this case.

CASE SCENARIO 9

Mr. Vivek was appointed as the engagement partner on behalf of Reliant & Co., a Chartered Accountant Firm, to conduct statutory audit assignment of Zenith Components Limited, an unlisted public company engaged in the manufacturing of electrical equipment.

During the audit, CA Meenal, one of the senior engagement team members, was given the responsibility to audit the matters as per requirements of CARO, 2020. Her major observations included:

- One of the buildings owned by Zenith Components Ltd. was revalued during the year based on a valuation report from a registered valuer, increasing the aggregate carrying value of Property, Plant & Equipment (PPE) from ₹ 12.5 crore to ₹ 14.5 crore.
- Zenith Components Ltd. was sanctioned a cash credit limit of ₹ 5.25 crore by Unity Bank based on the security of current assets which was reduced to ₹ 4.95 crore after 6 months. In this connection, the company submitted quarterly stock statements to the bank which were in agreement with the books of accounts.

Meanwhile, Reliant & Co. was also appointed to conduct the audit of a State Housing Department. During the course of audit, Office of the Comptroller & Auditor General of India (C&AG) observed that the prescribed law in the state defined a "flat" based on the following two criteria in a premises:

- Dwelling units exceeding a threshold limit.
- Buildings with a total area surpassing a threshold limit.

However, it was noted that the relevant database did not include a column for entering the area of the building. Consequently, a certain number of buildings were identified as flats even though they had fewer dwelling units than the threshold limit. In the absence of data regarding the area, the audit team directed physical verification of these flats. The physical verification confirmed that these buildings were incorrectly classified as flats, resulting in the department under collecting water charges.

Further, CA Karan, another partner, was engaged in the audit of EcoTherm Power Ltd., a listed company operating in the thermal energy generation sector. As a part of Business Responsibility and Sustainability Reporting (BRSR), the company disclosed data on its total greenhouse gas emissions from its production outlets during the year and a detailed energy consumption plan which it had devised for the upcoming years.

CA Nisha, an independent Chartered Accountant who had recently completed a Certificate Course on Sustainability Reporting, was approached by CA Karan for informal guidance on improving the company's sustainability disclosures. Impressed by her knowledge, CA Karan later recommended her name for the Board of Management of Navlok Co-operative Bank, a Primary (Urban) Co-operative Bank, which was also one of their audit clients. CA Amit, another professional colleague, advised Nisha to refrain from accepting the post as it could amount to professional misconduct.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. As per the provisions of CARO 2020, what should be the auditor's reporting responsibility with regard to revaluation of Property, Plant and Equipment done by Zenith Components Ltd.?
 - (a) No reporting is required as the revaluation is based on a registered valuer's report.
 - (b) Reporting is required under Clause (i)(d) of Paragraph 3 since the company has revalued its PPE and the amount of change exceeds 10% of the net carrying amount of each class of asset
 - (c) Reporting is required under Clause (i)(c) of Paragraph 3 since the company has revalued its PPE and the amount of change exceeds 10% of the net carrying amount of each class of asset.
 - (d) Reporting is not required under Clause (i)(d) of Paragraph 3 as the amount of change does not exceeds 10% of the net carrying amount of each class of asset.

2. Whether reporting is required under CARO, 2020 in case of sanctioned cash credit limit i.e., working capital limits?
- (a) Yes, reporting is required under Clause (ii)(b) of Paragraph 3, as the company was sanctioned working capital limits in excess of ₹ 5 crore.
 - (b) No reporting is required under CARO, 2020.
 - (c) No, reporting is not required under Clause (ii)(b) of Paragraph 3, because the working capital limit was later reduced below ₹ 5 crore.
 - (d) Yes, reporting is required under Clause (iii)(a) of Paragraph 3, since the company has been sanctioned working capital limits in excess of ₹ 5 crore.
3. The report of audit of State Housing Department by the C&AG is likely to be submitted to:
- (a) The Board of the Authority directly.
 - (b) The Governor of State.
 - (c) The Central Government.
 - (d) The Ministry of Housing and Urban Affairs.
4. With respect to EcoTherm Power Ltd., which of the following statements correctly categorizes the sustainability reporting indicators?
- (a) Both the details of the emission & future energy consumption plans form part of the Essential Indicators and need to be mandatorily disclosed in the BRSR.
 - (b) The details of the emission are a Leadership Indicator and is considered as optional disclosure, whereas the plan for future energy consumption is an Essential Indicator and needs to be mandatorily disclosed in the BRSR.
 - (c) Both the details of the emission & future energy consumption plans form part of the Leadership Indicators and are considered as optional disclosure.

- (d) The details of the emission forms part of the Essential Indicators and need to be mandatorily disclosed. However, the plan for future energy consumption is only a Leadership Indicator and is considered as optional disclosure.
5. Whether CA Nisha would be held guilty of professional misconduct if she accepts the offer to become a member of the Board of Management of Navlok Co-operative Bank (Primary Urban Co-operative Bank)?
- (a) It is permissible for a CA in practice to become a member of the board of management in primary (rural) co-operative banks. Hence, CA Nisha would be held guilty of professional misconduct if he accepts the offer.
 - (b) It is permissible for a CA in practice to become a member of the Board of management in primary (urban) co-operative banks. Hence, CA Nisha would not be held guilty of professional misconduct if he accepts the offer.
 - (c) Yes. CA Nisha would be held guilty of professional misconduct under Part III (other misconduct in relation to members of the Institute generally) of Second Schedule, as Nisha is getting this offer as a reciprocation for helping Reliant & Co.
 - (d) Yes. As per clause 11 of Part I of First Schedule CA Nisha would be held guilty of professional misconduct for engaging in another profession/ occupation without the permission of ICAI.

CASE SCENARIO 10

TechNova Solutions Ltd., a software development company and one of the Top 500 listed entities on the NSE, specialises in delivering customised enterprise resource planning (ERP) solutions.

During the year, the Chief Financial Officer (CFO) received a highly realistic voice message from a known vendor, "Apex Systems," detailing a last-minute change to their bank details for an upcoming ₹ 45 lakh payment for server maintenance licenses. The message seemed urgent and was syntactically correct, mimicking the vendor's typical communication style. The CFO, pressed for time, verbally approved the change to the accounts payable team without calling back the vendor to verify.

A week later, while the accounts team was preparing for year-end closing, they found that Apex Systems had sent a formal inquiry regarding the delay in payment for the ₹ 45 lakh invoice. Investigation revealed the initial voice message was a sophisticated AI-generated deepfake designed to commit fraud. The money was transferred to a fraudulent account, and the ₹ 45 lakh loss was confirmed and recorded in the financial statements. The company immediately filed a police report and engaged its IT security team.

The statutory auditors, M/s A & P Associates, determined that the company's internal controls over disbursements were deficient, specifically regarding change management for vendor banking details. The loss, though material (as it impacts profitability metrics), was determined not to be pervasive to the financial statements as a whole. The auditor's primary concern shifted to the design and implementation of internal controls to prevent future deepfake fraud. The audit efforts related to testing controls and substantive procedures on cash and payables increased by 15%.

The management of TechNova had recently launched a new service line for green computing consultancy. They decided to prepare a statement detailing their environmental, social, and governance (ESG) performance to attract institutional investors.

The management, impressed by the auditor's in-depth knowledge of IT security during the fraud investigation, proposed to appoint M/s A & P Associates to provide internal audit services for the current financial year's Quarter 4 period.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. In the given case, the cyber-attack technique encountered by the Company is known as:
 - (a) IOT-Based attack
 - (b) Vishing
 - (c) Ransomware attack
 - (d) Mobile Malware attack
2. Considering the facts given in the case relating to loss and deficiency in internal controls which led to the fraud, what is the most appropriate reporting implication for the auditor regarding the opinion?
 - (a) The auditor should issue an Adverse Opinion due to the material misstatement resulting from the fraud.
 - (b) The auditor should issue a Disclaimer of Opinion as the internal controls were completely compromised.
 - (c) The auditor should issue a Qualified Opinion due to the material but not pervasive misstatement related to the fraud.
 - (d) The auditor should issue an Unmodified Opinion, disclosing the matter in an Emphasis of Matter (EOM) paragraph.
3. The management of TechNova decided to prepare a statement detailing their Environmental, Social, and Governance (ESG) performance. If the company were to follow the SEBI mandate for disclosure on non-financial metrics, which report would it primarily be required to file, being a Top 500 listed entity?
 - (a) The Corporate Social Responsibility (CSR) Report.

- (b) The Integrated Report (IR).
 - (c) The Business Responsibility and Sustainability Report (BRSR).
 - (d) The Directors' Responsibility Statement.
4. Can M/s A & P Associates accept the offer to provide internal audit services for TechNova Solutions Ltd. for the current financial year's Quarter 4 period?
- (a) Yes, provided they also obtain sufficient appropriate audit evidence for the annual statutory audit.
 - (b) Yes, provided the fee for the internal audit is separately agreed upon and documented.
 - (c) No, the statutory auditor of a listed entity cannot provide internal audit services to the same company.
 - (d) No, the statutory auditor can only provide internal audit services if the company is not a listed entity.

CASE SCENARIO 11

Supriya is a practicing Chartered Accountant and a partner in SPR Associates, a CA firm engaged in various assignments across audit, advisory, compliance, and management consultancy for clients in the banking, education, co-operative, and public sectors. Recently, the firm received the following engagement request:

- Supriya, who is the statutory auditor of one of her major clients, Cosy Textiles Ltd., has been requested by the management to assist in compilation of financial information into a proper format for presentation to prospective investors in accordance with SRS 4410.
- She was approached by a hospitality chain for conducting a mystery audit at their 17 branches to evaluate service quality and compliance with SOPs for fee of ₹ 85,000.
- Supriya holds the position of Director Simplicitor in Fair Private Limited. The Company is now requesting her to digitally sign ROC forms due to her professional qualification.
- Additionally, to expand her practice, she is planning to use a messaging application to inform business groups about her firm's services and highlight the specialised areas and expertise.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Which of the following is correct with regards to CA Supriya approached by a hospitality client for conducting mystery audit?
 - (a) She cannot accept the assignment, as it falls outside the scope of audit services.
 - (b) She can accept the assignment since mystery audit is a permitted service.
 - (c) She can accept the assignment only if the client is not an existing audit client.

- (d) She can accept the assignment only if approved by ICAI in writing.
2. What should CA Supriya do in case of Cosy Textiles Ltd.?
- (a) Accept the assignment, as compilation is not an assurance service.
 - (b) Decline the assignment, as auditors cannot perform compilation engagements for audit clients under SRS 4410.
 - (c) Accept the engagement after disclosing it in the audit report.
 - (d) Accept the engagement if permitted by the audit committee.
3. Can CA Supriya digitally sign the ROC Forms for Fair Private Limited?
- (a) Yes, she may sign since she is a qualified Chartered Accountant.
 - (b) Yes, she may sign if she does not receive any remuneration.
 - (c) Yes, she may sign if she is not the auditor of the company.
 - (d) No, she cannot sign, as it creates a conflict with the auditor's role.
4. Does CA Supriya is correct in using a messaging application?
- (a) Yes, it is permitted as long as the recipients are known contacts.
 - (b) Yes, it is permissible with a disclaimer.
 - (c) No, it is not permissible as it amounts to solicitation.
 - (d) Yes, it is permissible if only educational content is shared.

CASE SCENARIO 12

ADM & Associates, a medium-sized audit firm, has recently been appointed as the statutory auditor of Muonic Ltd., a listed pharmaceutical company involved in complex global operations and intensive R&D activities.

The audit is being led by CA Rajul, an engagement partner. The company was previously audited by a Big 4 firm, which withdrew citing limitations in audit scope. During planning, CA Rajul observes that while her team has good experience with standard manufacturing audits, they lack exposure to pharmaceutical sector audits, especially in relation to R&D accounting and global regulatory requirements.

Despite this concern, the Managing Partner insists that the team follow their standard procedures to ensure the audit is completed on time, especially due to the company's obligations under listing regulations. CA Rajul is concerned about whether the firm possesses the capability and competence to deliver a high-quality audit in line with professional standards.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. As per SQC 1, what is the most appropriate action for CA Rajul to take after assessing that her audit team lacks experience in pharma R&D?
 - (a) Proceed with the audit using standard checklists and procedures.
 - (b) Raise a concern internally and consider involving external experts or specialists.
 - (c) Ignore the concern as the client expects timely reporting.
 - (d) Delegate responsibility to junior staff familiar with manufacturing audits.

2. The fact that the previous Big 4 auditor resigned due to scope limitations should prompt which of the following actions by ADM & Associates?
- (a) Assume the limitations are resolved as the client appointed a new auditor.
 - (b) Proceed after understanding the nature of scope limitations and documenting the evaluation.
 - (c) Consider it irrelevant since resignation is a common occurrence.
 - (d) Use the previous auditor's work to complete current year audit.
3. Under SA 220, what is CA Rajul's responsibility as the engagement partner regarding audit quality?
- (a) To ensure only documentation is maintained
 - (b) To ensure appropriate direction, supervision, and review of the audit work.
 - (c) To delegate all key decisions to the audit manager.
 - (d) To report only to the audit committee.

CASE SCENARIO 13

Simran Edible Oil Limited is a public company which has the business of manufacturing cooking oil. The company is in this particular business since last 25 years. The financial results of the company for the previous year FY 2022-23 are as under:

Sr. No.	Particulars	Amount
1.	Aggregate Outstanding Loans, debentures and deposits	₹ 10 crore
2.	Turnover of the company	₹ 100 crore
3.	Paid-up capital of the company	₹ 50 crore
4.	Net Profit (after tax) of the company	₹ 5 crore

For the year 2022-23, M/s Pesh & Associates were the auditors of the Company. The auditors found significant deficiencies in internal control and misrepresentation of amounts in the area of Trade Payables. Therefore, the Auditor issued qualified Audit Report.

Next year, management did not wish to re-appoint the same auditors, hence, Board of Director recommended Ms. Mansi as the Statutory Auditor for FY 2023-24 to the members of the Company.

After the appointment, Ms. Mansi went through previous year financials statements, audit report etc. and emphasised the understatement of Trade Payable balance as a significant audit risk. The auditor set the materiality at ₹ 15,00,000 for conducting audit of the year 2023-24.

Further, Ms. Mansi is in process of selecting the samples for testing so as to get the samples on which Vendor Balance Reconciliations can be performed, she is considering the following for the same:

- (i) Major Vendors where the confirmation balances agrees to General Ledger.
- (ii) Vendors which have high volume of business with Simran Edible Oil Limited.

(iii) Vendors with balances of ₹ 15,00,000 or more outstanding at the year end.

(iv) Vendors with balances of ₹ 15,00,000 or less outstanding at the year-end.

As at March 31st, 2024, the balance of two vendor as per company's General Ledger and as per the balance of the External Confirmation which are received from vendors are as under:-

Vendor Name	Balance as per General Ledger	Balance as per External Confirmation
Pakhi Groundnut Seeds Limited	₹ 15,00,000	₹ 20,00,000
Krishi Sunflower Seeds Limited	₹ 65,00,000	₹ 80,00,000

Pakhi Groundnut Seeds Ltd.:

The difference in the balance is due to one of the order received by the Company. This order is under dispute as the Company claims that the received raw material is of sub-standard quality. The consignment received was sent back to the vendor on March 30, 2023.

Krishi Sunflower Seeds Ltd.:

The difference in the balance is due to the reason of two invoices of ₹ 10,00,000 and ₹ 5,00,000 dated March 25, 2024 & March 27, 2024 respectively. As per the Accounts Payable Executive, both the invoices were received on April 03rd, 2024 and therefore, those were not recorded in the financial statement for the year ended March 31st, 2024.

Ms. Mansi took the samples to verify Trade payable balances, which covered 30% of population. During the Audit, she came across 2 errors amounting to ₹ 12,00,000:

- ₹ 4,00,000 was due to one invoice not being recorded due to weak inefficient control mechanism; and
- ₹ 8,00,000 error was made by Mr. Dhruv, an executive who came as a temporary replacement for one week in the place of Ms. Kamini, who is permanent accountant of the company. The mistake was clerical in nature.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Which items should Ms. Mansi select for testing so as to get the samples on which Vendor Balance Reconciliations can be performed?
 - (i) Major Vendors where the confirmation balances agrees to General Ledger.
 - (ii) Vendors which have high volume of business with Simran Edible Oil Limited.
 - (iii) Vendors with balances of ₹ 15,00,000 or more outstanding at the year end.
 - (iv) Vendors with balances of ₹ 15,00,000 or less outstanding at the year-end.
 - (a) i & iii.
 - (b) ii, iii, & iv.
 - (c) i & ii.
 - (d) i, ii & iii.
2. How can Ms. Mansi audit the operating effectiveness of internal control around the accounting of Trade payables?
 - (a) Recalculating ageing of Trade Payables to identify the balances which may not be agreeing with the audit evidence.
 - (b) Select samples from the supplier balance based on scientific Random Sampling approach & verify the third-party evidence.
 - (c) Input a fake purchase invoice into the client system to see if it is processed accurately.
 - (d) Calculate Trade Payables' days to use in the analytical procedures.
3. What are the audit procedures that Ms. Mansi should perform to verify whether the payable balances of Krishi Sunflower Seeds Ltd. are correctly recorded in the financial statements?

- (a) Send a confirmation to Krishi Sunflower Seeds Ltd. to request to confirm the outstanding balance as at March 31, 2024.
 - (b) Verify the bank payments for the period of post March 31, 2024, for any evidence of payment of invoice.
 - (c) Review the listing of purchase order to confirm whether it pertains to the current year 2023-24 or it pertains to the next financial year.
 - (d) Inspect the Goods Receipt Note to determine the date of receipt of raw material.
4. What would be proper course of action to be taken by Ms. Mansi for two errors amounting to ₹ 4,00,000 and ₹ 8,00,000 in the given scenario?
- (a) The total amount of error is below the materiality and therefore it should not be considered or further work upon.
 - (b) Ms. Mansi should ask Simran Edible Oil Ltd. to adjust ₹ 12,00,000 in the Payable balance and rectify the same.
 - (c) Different set of samples representing the same amount should be selected to check whether same errors are getting repeated, if it is not, then the observation should be waived off.
 - (d) The impact of errors noted in the audit of samples (test of details), should be projected and extrapolated across the whole population.

CASE SCENARIO 14

Karma Ltd. got incorporated in 1980s as a private limited company and started its business into two segments – printing and construction. The two business activities were completely different but those were managed very well and the company grew significantly over a period of time. In year 2001, the company got converted into a public company and in 2008, the company also got listed on Bombay Stock Exchange.

The turnover of the company was increasing, however, the margins were not increasing as per the expectations of the management and the management analysed this aspect and realized that the margins were not so high in case of printing segment.

The company decided to focus more on construction business and included infrastructure in its line of business. This was also because of the fact that the government policies were favourable towards the infrastructure sector. Eventually, the company decided to sell its printing segment in 2020.

The new investor (i.e. buyer) for the printing segment carried out a due diligence of the printing business involving various aspects and the company sold this segment in January 2021.

Since the business of the company included infrastructure and it involved transactions with government officials also, the management suspected certain suspicious transactions for which it decided to carry out forensic accounting in the financial year 2021-22. During the audit, certain transactions were identified highly risky, on which the management discussed and set up certain new processes and stringent controls so that the business can function in an efficient manner.

For the financial year ended 31st March 2024, Due Diligence was done for the company, which impacted the company significantly in terms of its reputation and business. The company lost some significant contracts during the process of investigation itself.

At the time of due diligence review, the reviewer assessed the business feasibility also so as to assess whether the current business would be more beneficial in future or not. The management of Karma Ltd. did not understand this perspective. The management argued that the reviewer has no powers to assess the business feasibility, as the company was running a profitable business from many years.

The company had various litigations going on including those related to matter of taxation. The company had taken consultations in respect of those litigations from professionals and renowned legal/ tax consultants. The reviewer for due diligence reviewed these consultation documents and also asked for the documents related to these matters. Further, he also suggested that the decision taken by the company in some matters was not correct.

At the time of investigation, the reviewer asked about the background of the promoters of the company. The management explained that there was no need for this investigation. Further, the management explained that the company has already gone through the processes of due diligence and forensic accounting in the previous years and there was no doubt raised on promoters of the company. So, the background of promoters cannot be shared with the reviewer.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. The management argued that the reviewer has no powers to assess the business feasibility, as the company has been running a profitable business from many years.

Which of the following statement should be correct?

- (a) The contention of the management was correct.
- (b) Reviewer was correct, as due diligence covers assessment of business feasibility as well.
- (c) Reviewer was correct as due diligence covers assessment of business feasibility as well, however, as the company was doing this

business for decades it should not have been carried out by the reviewer.

- (d) Management was correct; however, it should have discussed the same with the investor as part of the sale contract.
2. The due diligence reviewer was given audited financial statement of the company for his financial review for the year ended March 2024. However, the reviewer asked for financial statements for the year ended 31st March 2023, which was already audited by the statutory auditors of the company and the management of the company declined this request.
- (a) The management is correct.
 - (b) Reviewer can ask for documents even for the period for which audit is completed.
 - (c) Reviewer can ask for financial statements for the period for which audit is completed but he cannot give any statement on them. He can collect the same for his documentation purpose only as per the requirements of the auditing standards.
 - (d) Reviewer has no right to review the financial statements of the period other than the period under review.
3. The reviewer for due diligence reviewed the consultation documents pertaining to various litigations going on including those related to matter of taxation and also asked for the documents related to these matters. Further, he also suggested that the decision taken by the company in some matters was not correct.
- (a) The reviewer needs to have independent assessment of legal/ tax cases and any outcome needs to be discussed with the management.
 - (b) The company should not have provided the documents as those are confidential.

- (c) The reviewer can study the tax consultation document but cannot give his opinion as the company already took the opinion from professional consultant.
 - (d) Tax and legal matters are not a part of review of due diligence exercise.
4. The management may refuse to share the details of promoters. Comment on this.
- (a) Since the company has already went through due diligence and forensic accounting in the previous years, the management may refuse to provide promoters details to the reviewer.
 - (b) As the background of promoters has no bearing on the financials of the company, the reviewer should not ask for the details of promoters and the management may refuse to provide the same.
 - (c) Since the company went through processes of forensic accounting in the past, and set up new processes and internal controls, the reviewer should not investigate into the background of promoters.
 - (d) The contention of the management is not correct.

CASE SCENARIO 15

CA Harman, a practicing Chartered Accountant, intends to fill out the Multi-purpose Empanelment Form (MEF) to be included in the panel for the statutory audit of bank branches for the financial year 2023-24, as hosted by the Professional Development Committee (PDC) of ICAI. The application process requires the submission of XML files of personal income tax returns along with the computation of income. During the relevant financial year for which the information is sought, CA Harman had engaged in currency and commodity derivatives transactions, declaring the resulting income under "Business Income" in his tax return.

Additionally, Pitch Private Limited approached CA Harman to digitally sign and upload a resignation form related to Mr. Rohit, one of its directors, on the Registrar of Companies (ROC) portal. However, the signature of Mr. Rohit had been copied and pasted by another director of the company. Without verifying the authenticity of the resignation letter, CA Harman digitally signed the form, which was then uploaded to the ROC portal.

Subsequently, CA Harman's actions were brought under scrutiny when the Director (Discipline) of the Institute of Chartered Accountants of India (ICAI) received complaints regarding alleged misconduct. Upon investigation, he was found guilty of misconduct, and the competent authority imposed the appropriate penalty in accordance with the provisions of the Chartered Accountants Act, 1949.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Whether CA Harman will be held guilty for reflecting income from currency and commodity derivatives as "Business Income". If yes, under which clause?
 - (a) Yes, CA Harman will be held guilty for professional misconduct for reflecting income from currency and commodity derivatives as

"Business Income" under Clause (11) of Part I of the First Schedule of the Chartered Accountants Act, 1949.

- (b) Yes, CA Harman will be held guilty for professional misconduct for reflecting income from currency and commodity derivatives as "Business Income" under Clause (6) of Part I of the First Schedule of the Chartered Accountants Act, 1949.
 - (c) No, CA Harman will not be held guilty for professional misconduct for reflecting income from currency and commodity derivatives as "Business Income" under the Chartered Accountants Act, 1949.
 - (d) Yes, CA Harman will be held guilty for professional misconduct for reflecting income from currency and commodity derivatives as "Business Income" under Clause (2) of Part I of the Second Schedule of the Chartered Accountants Act, 1949.
2. Whether CA Harman will be held liable for misconduct for uploading the digitally signed resignation letter. If yes, under which clause of the Chartered Accountants Act, 1949?
- (a) Yes, CA Harman will be liable for misconduct under Clause (2) of Part I of the Second Schedule of the Chartered Accountants Act, 1949.
 - (b) Yes, CA Harman will be liable for misconduct under Clause (7) of Part I of the Second Schedule of the Chartered Accountants Act, 1949.
 - (c) Yes, CA Harman will be liable for misconduct under Clause (5) of Part I of the First Schedule of the Chartered Accountants Act, 1949.
 - (d) Yes, CA Harman will be liable for misconduct under Clause (7) of Part I of the First Schedule of the Chartered Accountants Act, 1949.
3. Before which authority would CA Harman's misconduct case be placed for disciplinary proceedings?
- (a) The High Court.
 - (b) The Board of Discipline.

- (c) The Disciplinary Committee.
 - (d) The Appellate Authority.
4. What is the minimum punishment that could have been imposed on CA Harman under the Chartered Accountants Act, 1949?
- (a) Reprimand the member.
 - (b) Removal of name from the register of members permanently or for a specified period and fine up to ₹ 5,00,000.
 - (c) Suspension of practice for up to 3 months.
 - (d) Warning and fine up to ₹ 50,000.

CASE SCENARIO 16

Chartered Accountant Firms - Tink & Co., Llyods & Co. and Manohar & Co. respectively, were appointed as the joint auditors for conducting the statutory audit for the financial year 2023-24 of Anitya Ltd.

They were having difference of opinion with regards to the following points:-

S No.	Reasons for Differences in Opinion
1	Manohar & Co. wanted to refer to the work of the auditor's expert, Mr. Tanmay in the audit report but the other joint auditors were not agreeing on the same as such reference was not relevant to an understanding in the final audit opinion and also it was not required by any statute.
2	Certain misstatements affected information to be included in 'Management Discussion and Analysis' of Anitya Ltd.'s annual report but as they were lower than materiality set for the financial statements as a whole and so according to the Llyods & Co., there was no requirement to perform any audit procedures on the same but the other joint auditors were not agreeing on the same for the reason that the information may reasonably be expected to influence the economic decisions of the users of the financial statements.
3	For a selected item, the joint auditors were not able to apply the designed audit procedures or suitable alternate procedures and Llyods & Co. wanted to treat that item as a misstatement in the case of test of controls as well as in the case of test of details but the other joint auditors were not agreeing on the said treatment.
4	Manohar & Co. had determined for a particular account balance positive confirmation request was necessary to obtain sufficient and appropriate audit evidence but as it had not obtained such confirmation and alternate audit evidence would not have sufficed its requirements, Manohar & Co. wanted to determine its implications on the audit opinion but the other joint auditors were not agreeing on the same.

The differences in opinion in the case of Tink & Co. and Llyods & Co. were resolved but there remained disagreement with the one of the opinions of Manohar & Co. due to which Manohar & Co. expressed its opinion in a separate audit report.

Further, Manohar & Co. resigned and filed the required statement with respect to its resignation with Anitya Ltd. as well as the Registrar, respectively.

The Board of Directors of Anitya Ltd. appointed Namo & Co. as a joint auditor in place of Manohar & Co. which was later approved by members in the general meeting of the company.

Namo & Co. before getting appointed, as aforesaid, had :-

- (i) Communicated vide a registered post acknowledgment due to the previous joint auditor, Manohar & Co. but the said post was received back with the remarks "Office Found Locked".
- (ii) Ascertained that the requirements of Section 139 and Section 140 of the Companies Act, 2013, with the respect to its appointment had been duly complied with or not by Anitya Ltd.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Whether the opinion of Manohar & Co. for referring the work of the auditor's expert, Mr. Tanmay in the audit report, can be considered as valid?
 - (a) No, as such reference was not relevant to an understanding in the final audit opinion and also it was not required by any law or regulation.
 - (b) Yes, such a reference in the auditor's opinion was relevant to the understanding of the users of the financial statement.
 - (c) No, as such reference was not required by any law or regulation.
 - (d) Yes, if such reference was relevant to any 'key audit matter' as per SA 701 even though it was not required by any law or regulation.

2. Whether the opinion of Llyods & Co. for treating the item as a misstatement in the case of test of controls as well in the case of test of details for which the joint auditors were not able to apply the designed audit procedures or suitable alternate procedures, can be considered as valid?
- (a) No, as such item shall be as a misstatement only in the case of test of controls and for test of details such item shall be treated as a deviation.
 - (b) Yes, as such item shall be treated as a misstatement in the case of test of controls and test of details.
 - (c) No, as such item shall be treated as a deviation in the case of test of controls and test of details.
 - (d) No, as such item shall be treated as a misstatement only in the case of test of details and for test of controls such item shall be treated as a deviation.
3. Whether the insistence by Manohar & Co. for determining implications of not obtaining response to positive confirmation request on the audit opinion can be considered as valid?
- (a) No, because in such a case the auditor should have enquired the reasons for the same from the management in writing and included the same as a 'Key Audit Matter' as per SA 701
 - (b) Yes, because in such a case the auditor should have determined implications for the audit and the auditor's opinion in accordance with SA 705.
 - (c) No, because in such a case the auditor should have obtained and relied upon a written representation as per SA 580 in this regard.
 - (d) No, because in such a case the auditor should have determined the need to include an 'Emphasis of matter' paragraph in the audit report as per SA 706 after considering the implications on the audit.

4. Whether Namo & Co. would be considered to have satisfied the requirements of communicating with the previous auditor?
- (a) No, as the communication through registered post acknowledgment due could not be done, Namo & Co. should have tried an alternative form of communication as prescribed by the Council of the ICAI for the same.
 - (b) Yes, as it would be deemed that such post was delivered.
 - (c) No, because in such a case Namo & Co. should have informed the Council of the ICAI with respect to the non-delivery of post to the previous auditor along with the reasons for the same.
 - (d) No, however, Namo & Co. can commence the audit of Anitya Ltd. but should try to satisfy the requirement of communicating with the previous auditor at least before signing of the audit report.

CASE SCENARIO 17

CA Kamlesh was appointed as the engagement partner on behalf of Dutta & Associates for conducting the statutory audit for 3rd consecutive year of Pramati Limited, an unlisted public company, with a turnover of ₹ 35 crore during F.Y. 2022-23.

From F.Y. 2023-24 onwards, Pramati Limited had voluntarily adopted to prepare its financial statements as per Division II of Schedule III of the Companies Act, 2013, due to which Dutta & Associates had revised the terms of audit engagement for the current audit engagement. As per the revised terms, it was decided that the auditor's report on the financial statements will incorporate a paragraph in accordance with SA 706, drawing users' attention to the additional disclosures. Moreover, it was decided that management will also present appropriate disclosures in the financial statements with respect to this change.

While auditing the entity, CA Kamlesh came across a business policy of Pramati Limited that required to invest some portion of its money earned in its business in securities of different blue-chip companies and due to this reason, almost 55% of Pramati Limited's total assets consisted of such investments. These securities transactions were handled by its broker company, River Securities Private Limited (RSPL). RSPL was also performing necessary investment account reconciliations and was also preparing the MTM gain and loss calculation for the entity. Pramati Limited used to rely upon the calculations performed by RSPL and based on that they pass the MTM entry for their current investments every month. Pramati Limited relying on the controls presents in RSPL for the preparation of this entry. They also listed controls present in RSPL in their Risk Control Matrix as key controls.

The engagement quality reviewer, CA Tushar, recommended CA Kamlesh to obtain a Type 2 report from the management of RSPL to which CA Kamlesh said that it was not required to do so as management was already comfortable with the controls present in RSPL.

While finalising the audit report, CA Kamlesh prepared a letter containing key important points to be communicated to Those Charged with the Governance and Audit Committee of the entity. This letter was prepared in addition to the audit report. The audit team was of the view that for the above-mentioned letter the audit team is required to generate UDIN.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. While finalising the audit report CA Kamlesh decided to present the early adoption of IND AS under the "Other Matter Paragraph" as in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report. Kindly guide CA Kamlesh with respect to correct reporting in the Audit Report as per SA 706:
 - (a) No disclosure is required as it is voluntary adoption of Division II of Schedule III of the Companies Act, 2013.
 - (b) The Audit team should report the change in the "Emphasis of Matter Paragraph" because, in the auditor's judgment, it is of such importance that it is fundamental to users' understanding of the financial statements.
 - (c) The Audit team should report the change in the "Other Matter Paragraph" because, in the auditor's judgment, it is of such importance that it is fundamental to users' understanding of the financial statements.
 - (d) The Audit team should qualify as per SA 705 the said change as it was not required to be implemented and this will create unnecessary confusion for the read.
2. CA Kamlesh 's risk assessment includes an expectation that controls at the service organization are operating effectively and he contended that there was no requirement to obtain a Type 2 report. Kindly guide CA Kamlesh with respect to the requirement of SA 402.

- (a) CA Kamlesh 's contention is correct as Management has comfort over the controls at service organization for the transactions and activities which are processed there.
 - (b) When the user auditor's risk assessment includes an expectation that controls at the service organization are operating effectively, the user auditor shall obtain audit evidence about the operating effectiveness of those controls which may include by obtaining Type 2 report.
 - (c) It depends upon the auditor's judgment and the recommendation of the engagement quality reviewer is not binding upon Audit team. As a result, CA Kamlesh's decision will be considered correct and appropriate.
 - (d) As no services are outsourced to the broker company and hence there is no need to obtain the type 2 report.
3. CA Kamlesh was not sure with respect to the UDIN requirement for the letter to Those Charged with Governance containing important audit topics and findings for discussion. Kindly guide CA Kamlesh with respect to UDIN requirements for this letter.
- (a) Separate UDINs are to be generated for the Statutory audit report and Letter to Those Charged with Governance.
 - (b) UDIN is only required for the Statutory Audit Report, but it is not required for the communication performed by Auditor as per SA 260 and SA 265.
 - (c) One single UDIN is required to be generated for all items for this Client. UDINs are required to be generated Client wise instead of report-wise.
 - (d) One single UDIN will be generated for the whole year for this engagement which may include various communication by auditor to management and Those Charged with Governance.

CASE SCENARIO 18

CA Mridul, a practicing Chartered Accountant, has been appointed as the statutory auditor of PQT Limited, a reputed listed company engaged in manufacturing electronic products, as per the provisions of the Companies Act, 2013. In addition to his audit responsibilities, he is actively involved in advising the government on proposed legislation aimed at attracting investments and advanced technology in the electronic products sector. He has publicly advocated the proposed policy in TV debates, articles in business newspapers, and advisory submissions to the government. In all such public appearances, he has disclosed his role as the auditor of PQT Limited.

Meanwhile, CA Mridul is also the statutory auditor of Fincorp Limited, non-banking financial company, for the financial year 2023-24. While reviewing the financial statements, he observes that the company has made the following provisioning in compliance with the Reserve Bank of India (RBI) Prudential Norms for Asset Classification as of 31st March 2024:

Asset Category	Balance Outstanding (₹ crores)	Provision for FY 2023-24 (₹ crores)
Standard Assets	200	NIL
Sub-standard Assets (Fully secured)	15	1.00
Doubtful Assets (1-3 years) (Fully secured)	8	2.00
Loss Assets	2	2.00
Total Provision for NPA		5.00 crores

Upon review, CA Mridul is of the opinion that the company has not done the provisioning correctly and expresses concerns regarding non-compliance with RBI guidelines.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Which of the following statements is likely to be correct in regard to PQT Limited?
 - (a) The described situation can involve self-interest threats to the independence of the auditor.
 - (b) The described situation can involve familiarity threats to the independence of the auditor.
 - (c) The described situation can involve advocacy threats to the independence of the auditor.
 - (d) The described situation can involve self-review threats to the independence of the auditor.
2. Is the provision for Loss Assets of ₹ 2 crores correct as per RBI norms?
 - (a) Yes, because the provision should be 100% of the outstanding amount.
 - (b) No, the provision should be only 50% as it is secured.
 - (c) No, the provision should be NIL if the asset is secured.
 - (d) Yes, but only if the RBI has classified it as a fraud-related asset.
3. Fincorp Limited has classified ₹ 15 crores of loans as sub-standard assets. As per RBI norms, what should be the minimum provision required for this category?
 - (a) ₹ 1.50 crores
 - (b) ₹ 3.00 crores
 - (c) ₹ 0.75 crores
 - (d) ₹ 1.00 crores

4. Fincorp Limited has ₹ 8 crores in doubtful assets (one to three years) and has provided ₹ 2.00 crores. What is the shortfall in provisioning as per RBI norms?
- (a) ₹ 0.40 crores
 - (b) ₹ 1.00 crores
 - (c) ₹ 0.80 crores
 - (d) No shortfall

CASE SCENARIO 19

Innovate Robotics Pvt. Ltd. (IRPL) engaged in the business of manufacturing advanced robotic machinery and developing proprietary automation software appointed M/s Gaur & Associates, Chartered Accountants, as the statutory auditor for the financial year 2024-25.

The financial highlights of IRPL for the year were as follows:

Particulars	Balance as at 31 st March 2024)
Total Turnover (Previous Year: ₹ 85 crores)	₹ 120 crores
Borrowings from banks and financial institutions	₹ 35 crores
Paid-up Share Capital	₹ 20 crores
Profit Before Tax	₹ 15 crores

During the audit, Engagement Partner CA. Gaurav and his team observed the various issues which are given as under:

- (i) While conducting substantive procedures, the audit team noticed a significant increase in sales during the last quarter of the financial year. A major portion of this increase, amounting to ₹ 8 crores, was attributed to sales made to a new customer, TechSynergy Solutions Pvt. Ltd., which was incorporated on 1st October, 2024. The audit team's inquiries revealed that the payment for these sales was received on 5th April, 2025, just before the audit commenced. Upon further investigation, Anjali, an audit assistant, discovered that one of the directors of TechSynergy Solutions was the husband of the daughter of IRPL's Chief Financial Officer (CFO), Mr. Alok. When CA. Gaurav brought this information to Mr. Alok's attention, the CFO dismissed it as a mere coincidence and insisted that the transaction was conducted at arm's length. He also argued that since the payment was fully received, there was no risk of a misstatement. Management also refused to disclose this relationship in the financial statements, contending that it was not a related party transaction as per the applicable financial reporting framework, and that doing so would

unnecessarily complicate matters. It was also observed that approval by way of resolution was also not obtained by management before entering into the contract with TechSynergy for sale of goods.

- (ii) During the physical verification of Property, Plant, and Equipment (PPE), the audit team & management could not locate a highly specialised robotic arm, which was recorded in the fixed asset register with a written down value of ₹ 2.5 crores. Later, management provided a verbal explanation that the asset had been sent to a facility in Germany for immediate calibration in February 2025 and was in transit. However, they failed to provide any supporting documentation such as gate pass, dispatch challan, or insurance documentation for this movement. This matter remained unresolved at the time of finalisation of the audit report.
- (iii) IRPL holds 60% equity shares in a subsidiary, AutoBots Ltd. The statutory auditors of AutoBots Ltd., in their audit report for FY 2024–25, expressed a qualified opinion due to non-provision of doubtful debts amounting to ₹ 1.5 crores, which the auditor considered materially misstated.

During the final phase of the audit, on 15th April 2025, IRPL's CEO offered a position of 'Head of Software Development' to CA. Gaurav's wife, a highly qualified software engineer. CA. Gaurav subsequently discovered that his father purchased 1,00,000 equity shares of ₹ 10 each in AutoBots Ltd., a subsidiary of IRPL on 27th June, 2025 i.e., after issuance of audit report. The total paid-up capital of AutoBots Ltd. is ₹ 5 crores.

In the final meeting on 25th April 2025, IRPL's management strongly contended that the unresolved matters were minor in the context of their overall profitable operations. They urged CA. Gaurav to issue an unmodified audit opinion, warning that any modification could jeopardize a crucial funding deal for the company.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. With reference to the ₹ 8 crore sales transaction with TechSynergy Solutions Pvt. Ltd., and management's refusal to disclose the relationship with the entity, how should CA. Gaurav assess this matter in accordance with SA 240?
 - (a) CA. Gaurav should accept the CFO's explanation and conclude that the transaction does not pose a significant risk, as the payment was fully received subsequent to the year-end, which mitigates the risk of financial loss.
 - (b) CA. Gaurav should treat the transaction as indicative of a significant risk of material misstatement and consider the implications for the audit, including the reliability of management's representations, regardless of the subsequent payment.
 - (c) CA. Gaurav can rely on the management's assertion that the transaction was at arm's length and that the relationship does not meet the technical definition of a related party, thereby concluding that no further action is necessary.
 - (d) CA. Gaurav should only request a written representation from management confirming the nature of the transaction and their assertion that no related party relationship exists and then proceed to issue an unmodified opinion.
2. What is the reporting responsibility of CA. Gaurav under para 3(i) of CARO 2020, regarding the undisposed robotic arm with a written down value of ₹ 2.5 crores that was not physically located?
 - (a) Since the management has provided a verbal explanation that the asset is in transit for calibration, CA. Gaurav should accept it and is not required to report any discrepancy in the CARO report.
 - (b) The discrepancy is not considered material as it represents only a small portion of the company's total turnover of ₹ 120 crores, and therefore, no reporting under CARO 2020 is necessary.

- (c) CA. Gaurav should state in his CARO report that a material discrepancy of ₹ 2.5 crores was noticed during the physical verification of Property, Plant, and Equipment, and this has not been properly dealt with in the books of account.
 - (d) CA. Gaurav should qualify his main audit report for this matter but can choose not to mention this specific discrepancy in the CARO report to avoid redundancy.
3. Assuming that CA. Gaurav's father purchased the shares with a face value of ₹ 10 lakhs in AutoBots Ltd., the subsidiary company, on 1st April, 2025, what is the implication on the audit engagement of IRPL under the Companies Act, 2013 and the Chartered Accountants Act, 1949?
- (a) There is no implication, as the shares are held in the subsidiary company (AutoBots Ltd.) and not in the holding company (IRPL).
 - (b) CA. Gaurav is disqualified from being the auditor of IRPL because his relative holds securities in a subsidiary of the company exceeding the prescribed limit of ₹ 1 lakh, and continuing the engagement constitutes professional misconduct.
 - (c) Since CA. Gaurav was not aware of his father's investment at the time of accepting the audit, he is not in violation, provided he now obtains a declaration from his father confirming it is not a material investment.
 - (d) CA. Gaurav is disqualified from being the auditor of IRPL because his relative holds securities in a subsidiary of the company exceeding the prescribed limit of ₹ 1 lakh, but the disqualification can be retrospectively corrected if his father sells the shares within 60 days of CA. Gaurav becoming aware of the holding, thereby avoiding any misconduct.
4. What is the most appropriate type of audit opinion that CA. Gaurav should express for IRPL's financial statements in accordance with SA 700 regarding multiple unresolved issues, specifically the ₹ 8 crore revenue transaction, the missing ₹ 2.5 crore asset and the impact of the subsidiary's qualified opinion?

- (a) An adverse opinion, because the collective impact of the identified misstatements is so material and pervasive that the financial statements as a whole are misleading.
 - (b) A qualified opinion, as the issues identified are material but are confined to specific elements of the financial statements and are not pervasive.
 - (c) A disclaimer of opinion, because the inability to physically verify a key asset constitutes a significant limitation on the scope of the audit.
 - (d) An unmodified opinion with a Key Audit Matters (KAM) paragraph describing the revenue recognition and asset verification issues as high-risk areas.
5. If CA. Gaurav surrenders to the pressure from IRPL's management and issues an unmodified audit report for the year ended 31st March 2025, despite the unresolved issues regarding the revenue transaction with TechSynergy and the unverified robotic arm, he would be guilty of professional misconduct. Which of the following clauses of Part I of the Second Schedule to the Chartered Accountants Act, 1949, would be applicable?
- (a) Clause 5 and 9
 - (b) Clause 6 and 4
 - (c) Clause 5 and 8
 - (d) Clause 5, 6 and 7

CASE SCENARIO 20

SCL is a prominent, listed Non-Banking Financial Company (NBFC) (non-deposit taking NBFCs with an asset size of ₹ 1,000 crore and above) primarily engaged in providing corporate loans and retail financing. Mehta & Shah Associates (MSA), a partnership firm with two partners, CA. Karan Mehta and CA. Arjun Shah, was appointed as the statutory auditor of SwiftFin Capital Ltd. (SCL) for the financial year ended 31st March, 2025.

During the audit, MSA team led by CA. Mehta, began reviewing SCL's compliance with RBI's Master Directions for NBFCs. They discovered that three large corporate loan accounts, with a total outstanding balance of ₹ 15 crores, had principal and/or interest payments overdue for a period ranging from 95 to 110 days as at the balance sheet date. However, these accounts were still classified as 'Standard Assets' in the company's records. The management of SCL argued that these were long-standing, "blue-chip" clients with whom they were in advanced restructuring negotiations. They contended that classifying these accounts as Non-Performing Assets (NPAs) would trigger cross-default clauses in other agreements of those clients and permanently damage valuable business relationships. They insisted that the non-classification was a temporary measure based on commercial judgment.

While reviewing the board minutes, the audit team came to know about a lawsuit filed against SCL in January 2025. A group of retail customers alleged that the company had provided loans by charging interest rates that were not transparently disclosed and were in violation of the RBI's Fair Practices Code. SCL's internal legal department had prepared a note for the board estimating a financial outcome of up to ₹ 5 crores if the judgment went against the company. However, the financial statements contained no provision or disclosure for this matter. Management asserted that their legal advisors believed the probability of an unfavourable outcome was "remote".

In April 2025, impressed with the firm's diligence, the management of SCL also offered the tax audit engagement under Section 44AB of the Income-tax Act, 1961, to MSA for the Assessment Year 2025-26. CA. Mehta reviewed the firm's

workload for the assessment year. As on that date, CA. Mehta had already signed 55 tax audit reports, and his partner, CA. Arjun, had signed 60 tax audit reports.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Considering the requirements of SA 250, "Consideration of Laws and Regulations in an Audit of Financial Statements" and the specific context of an NBFC audit, what is the most appropriate course of action for CA. Mehta regarding the non-classification of loan accounts worth ₹ 15 crores as NPAs?
 - (a) CA. Mehta should accept management's commercial judgment, as advanced restructuring negotiations are in progress, and disclose the matter in an "Emphasis of Matter" paragraph to ensure user awareness.
 - (b) CA. Mehta should inform the management that this non-classification constitutes a material misstatement due to non-compliance with RBI's mandatory prudential norms. If management refuses to correct this by reclassifying the assets and making provisions, he must modify the audit opinion.
 - (c) CA. Mehta's primary responsibility is to report this specific instance of non-compliance with IRAC norms to the Department of Supervision of the RBI, and he can issue an unmodified opinion on the financial statements.
 - (d) CA. Mehta should obtain a specific written representation from management confirming the future recoverability of the loans and based on this representation, he can agree to the existing classification and issue a clean report.
2. With reference to the tax audit engagement offered by SCL and assuming that the CA. Arjun is finalised as the signing on behalf of the firm Mehta & Shah Associates (MSA), can the firm legally accept this new Tax Audit

assignment for the Assessment Year 2025-26 as per the guidelines issued by the Council of ICAI?

- (a) No, the firm cannot accept the engagement because the total number of tax audits conducted by the partner CA. Arjun (60) is very close to the limit, and accepting one more would be a violation.
- (b) Yes, the firm can accept the engagement, but the audit report must be signed by CA. Mehta, as CA. Arjun has already reached his permissible limit of 60 audits.
- (c) No, the firm cannot accept the engagement because the specified limit of 60 tax audits applies to the firm as a whole, and the partners' individual counts are irrelevant.
- (d) Yes, the firm can accept the engagement because the specified limit of 60 tax audits applies to each partner individually, and the firm can still take five more Tax Audits before reaching its 120 Tax Audit limit.

3. CA. Mehta has identified the matter regarding NPA classification and the non-disclosure of the lawsuit as the two most significant issues of the entire audit. He wishes to highlight these matters prominently in his report as Key Audit Matters. Considering the nature of matters, which of the following is the only appropriate method for CA. Mehta to communicate these in his audit report?

- (a) Describe both issues in detail in the "Key Audit Matters" (KAM) section, as they represent the areas of highest risk and significant auditor judgment.
- (b) Describe both issues in an "Emphasis of Matter" (EOM) paragraph, as they are fundamental to understanding the company's financial position and risks.
- (c) Describe the issues giving rise to the misstatements in the "Basis for Modification" paragraph, which will support a qualified or adverse opinion.

- (d) Describe the issues in an "Other Matter" (OM) paragraph, as they are relevant to the users' understanding of the conduct of the audit and management's integrity.
4. Apart from making inquiries with management wherein the management's assessment of the lawsuit is "remote," which audit procedures should be designed and performed by CA. Mehta?
- (a) He should discuss the matter with audit committee, expressing concern that management's representation is unreliable and insists on making a provision of ₹ 5 crores required in the financial statements based on the available evidence and his independent assessment.
 - (b) He should seek direct communication with the entity's external legal counsel through a letter of inquiry, prepared and sent by management, requesting the entity's external legal counsel to provide a necessary update on the litigation.
 - (c) He should seek direct communication with the entity's external legal counsel through a letter of inquiry, prepared by management and sent by the auditor, requesting the entity's external legal counsel to communicate directly with the auditor.
 - (d) After seeking direct communication with the entity's external legal, he should independently engage a forensic accountant at the firm's own cost to obtain the evidence against the lawsuit, which should be admissible in the court of law.

Prakriti Limited is a listed company engaged in the manufacture of eco-friendly home appliances. During the financial year, the company significantly expanded its operations by setting up a new manufacturing facility in a semi-rural location. The expansion was aimed at increasing production capacity while benefiting from lower operational costs and proximity to raw material suppliers.

During the statutory audit of Prakriti Limited, the auditor became aware of the undisclosed environmental violations and labour-related non-compliances. Management represented that the issues were operational in nature and assured corrective action. Relying on management representations, the auditor did not include any specific reference to these matters in the audit report.

The company sources raw materials from a diverse supplier base and employs a large workforce, a substantial portion of which consists of contractual labour engaged through third-party contractors. Prakriti Limited sells its products through online platforms as well as a widespread network of distributors across India.

Being a listed entity, Prakriti Limited is required to comply with the Business Responsibility and Sustainability Reporting (BRSR) framework. During the year, the following issues came to the attention of stakeholders and regulators:

- Prakriti Limited has published its sustainability policies and environmental commitments on its official website. However, certain material environmental violations relating to emissions and waste management at the newly established plant were disclosed to the public only after these violations were highlighted in media reports. The company did not make timely or voluntary disclosures to its stakeholders when the violations first occurred.
- Contractual workers employed at the new manufacturing facility raised complaints regarding delayed payment of wages by contractors and absence of adequate safety measures at the workplace. The workers alleged that despite being aware of these issues, the company did not take sufficient steps to ensure compliance by contractors.

- Prakriti Limited collects customer data through its online sales platform for order processing and customer engagement. During the year, it was observed that the company shared customer data with third-party marketing agencies without obtaining explicit consent from customers.

Statutory auditor CA. Manik, during the statutory audit of Prakriti Limited, became aware of the undisclosed environmental violations and labour-related non-compliances. Management represented that the issues were operational in nature and assured corrective action. Relying on management representations, the auditor did not include any specific reference to these matters in the audit report.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. The delayed disclosure of environmental violations at the new manufacturing plant is contrary to which BRSR principle?
 - (a) Principle 2 – Safe and Sustainable Goods and Services
 - (b) Principle 1 – Ethics, Transparency and Accountability
 - (c) Principle 6 – Protection and Restoration of Environment
 - (d) Principle 9 – Provide Value to the Consumers in a Responsible Manner
2. Which clause of CARO, 2020 is most likely to require reporting in respect of delayed wages and labour-related statutory non-compliances at Prakriti Limited?
 - (a) Clause 3(vii) – Statutory Dues
 - (b) Clause 3(i) – Property, Plant and Equipment;
 - (c) Clause 3(xi) – Fraud by the company
 - (d) Clause 3(xv) – Non-cash transactions with directors
3. The grievances raised by contractual workers regarding delayed wages

and unsafe working conditions primarily indicate non-compliance with which principle?

- (a) Principle 4 – Respect for Stakeholders' Interests and Responsiveness
 - (b) Principle 2 – Safe and Sustainable Goods and Services
 - (c) Principle 8 – Promote Inclusive Growth and Equitable Development
 - (d) Principle 3 – Promote Well-Being of All Employees Including those in the Value Chain
4. Which is the most appropriate response of the auditor upon becoming aware of environmental and labour law non-compliances as per relevant Standards on Auditing?
- (a) Accept management representation as sufficient audit evidence
 - (b) Ignore the matters since they relate to non-financial reporting
 - (c) Evaluate implications under applicable laws and communicate with those charged with governance, and consider appropriate reporting
 - (d) Immediately resign from the audit
5. Sharing customer data with third-party marketing agencies without explicit consent amounts to a violation of:
- (a) Principle 2 – Safe and Sustainable Goods and Services:
 - (b) Principle 4 – Respect for Stakeholders' Interests and Responsiveness
 - (c) Principle 5 – Respect and Promote Human Rights
 - (d) Principle 9 – Provide Value to the Consumers in a Responsible Manner

CASE SCENARIO 22

Wire Ltd. is a listed company engaged in the manufacture of electrical equipment. The company operates multiple manufacturing units across India and consumes significant quantities of electricity, water, and natural resources such as copper and aluminium for its operations. The production process results in carbon emissions, water discharge, hazardous waste, and e-waste.

To address environmental concerns, Wire Ltd. has installed solar power facilities at its plants and implemented water recycling systems. The company has also set measurable targets to reduce its carbon emissions by 30% over the next five years and periodically tracks its emission levels.

Wire Ltd. employs a large workforce, including permanent and contract workers. The company has framed policies relating to employee health and safety, labour welfare, gender diversity, equal opportunity, and skill development. It also undertakes community development initiatives in the areas surrounding its manufacturing units.

The Board of Wire Ltd. comprises executive and independent directors. The company has constituted various Board committees, including the Audit Committee, Nomination and Remuneration Committee, and Risk Management Committee. Wire Ltd. follows a code of conduct, has a whistle-blower mechanism, and ensures compliance with applicable laws and regulations.

In response to increasing investor and regulatory expectations, Wire Ltd. has initiated Environmental, Social and Governance (ESG) reporting, which includes both qualitative disclosures (such as policies and strategies) and quantitative disclosures (such as metrics and key performance indicators).

Wire Ltd. appoints a firm of Chartered Accountants APR & Associates to provide ESG assurance using advanced digital auditing tools such as data analytics and automated extraction of ESG data from its ERP systems.

Subsequently, CA. Ankur, Partner APR & Associates instruct his article assistant CA Mihir to publish a detailed post on its website and social media platforms highlighting its role in conducting "ESG and Digital Audits of a listed

manufacturing company using AI-based tools” and to invites other corporates to approach the firm for similar assignments.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Which of the following activities undertaken by Wire Ltd. falls under the Environmental (E) pillar of ESG?
 - (a) Constitution of Board-level committees
 - (b) Adoption of a whistle-blower mechanism
 - (c) Installation of solar power facilities and water recycling systems
 - (d) Community development initiatives
2. Policies relating to labour welfare, gender diversity, and community development primarily relate to which pillar of ESG?
 - (a) Environmental Pillar
 - (b) Social Pillar
 - (c) Governance Pillar
 - (d) Financial Pillar
3. Whether the instruction of CA Ankur, Partner of APR & Associates, to his articled assistant CA Mihir is in compliance with the provisions of the Chartered Accountants Act, 1949 and the Schedules thereto?
 - (a) Yes, since publication of information relating to professional expertise and use of digital audit tools is permitted under the provisions of the Chartered Accountants Act, 1949 and the Schedules thereto.
 - (b) No, as the instruction results in indirect solicitation of professional work, thereby violating Clause 6 of Part I of the First Schedule to the Chartered Accountants Act, 1949.
 - (c) No, as the instruction results in indirect solicitation of professional work, thereby violating Clause 6 of Part I of the Second Schedule to the Chartered Accountants Act, 1949.

- (d) Yes, since ESG assurance and digital auditing are emerging areas and are not restricted provisions of the Chartered Accountants Act, 1949 and the Schedules thereto.
4. The presence of independent directors and constitution of Audit and Risk Management Committees indicate adherence to:
- (a) Environmental Pillar
 - (b) Social Pillar
 - (c) Governance Pillar
 - (d) Financial Pillar

CASE SCENARIO 23

CA Kishan, a sole proprietor of M/s R K & Co., is a Chartered Accountant in practice. He employs CA Isha, a qualified Chartered Accountant, as a full-time paid assistant. CA Isha conducts audits, prepares reports and signs certificates under the name and supervision of CA Kishan.

The firm also engages Mr. Varun, a non-Chartered Accountant, to assist in administrative coordination, client communication and liaison work. The firm pays him a portion of professional receipts described as *“legal consultancy and office support charges”*, although Mr. Varun does not possess any recognised professional qualification prescribed by the Council.

With prior approval of the Council, CA Kishan purchases the goodwill from Ms. Vishakha, wife of a deceased Chartered Accountant. Following this acquisition, the firm witnesses a rapid expansion of its client base, including corporate and overseas clients.

During this expansion phase AMC Ltd., one of the client of CA Kishan, had following cyber fraud attempts:

- The CFO of a client company receives an urgent phone call from a person impersonating a bank official, requesting OTP details to reverse a supposedly failed transaction.
- Around the same time, the Managing Director receives a “Highly Confidential” email appearing to originate from the Chairman, seeking immediate authorisation for an overseas wire transfer.
- The attackers leveraged publicly available information and weak segregation of duties to make their communications appear authentic.

Based on the above facts, answer the following:

MULTIPLE CHOICE QUESTIONS

1. Whether payment to Mr. Varun described as "legal consultancy and office support charges" is permissible under the provisions of the Chartered Accountants Act, 1949 and the Schedules thereto?
 - (a) Permissible sharing of fees due to legal consultancy
 - (b) Professional misconduct under Clause (2) of Part I of the First Schedule to the Chartered Accountants Act, 1949
 - (c) Professional misconduct under Clause (3) of Part I of the First Schedule to the Chartered Accountants Act, 1949
 - (d) Permissible if disclosed in the engagement letter
2. The phone call received by the CFO requesting OTP details to reverse a failed transaction is known as:
 - (a) Whaling
 - (b) Spear phishing
 - (c) Vishing
 - (d) Smishing
3. Whether purchase of goodwill from a non-CA in the given case will tantamount to Professional Misconduct under the provisions of the Chartered Accountants Act, 1949 and the Schedules thereto?
 - (a) Purchase of goodwill from a non-CA is professional misconduct under Clause (4) of Part I of the First Schedule to the Chartered Accountants Act, 1949.
 - (b) Purchase of goodwill from the legal heir of a deceased CA, with Council approval, is permissible.
 - (c) Purchase of goodwill is permissible only if the seller is a practicing CA.

- (d) Purchase of goodwill from a non-CA amount to professional misconduct under Clause (1) of Part I of the First Schedule to the Chartered Accountants Act, 1949
4. The email sent to the Managing Director impersonating the Chairman and seeking urgent wire transfer authorisation is an example of:
- (a) Spear phishing
 - (b) Phishing
 - (c) Whaling
 - (d) Smishing

CASE SCENARIO 24

M/s BAT & Co., a firm of Chartered Accountants, recently launched its official website "bat-ca.com". The website featured bright neon colours, details of the partners, and listed some major clients with the fees charged. The website also used a "push" technology, where updates were automatically sent to subscribers without them requesting it.

Around the same time, Mr. P, a partner in the firm, appeared on a business channel TV interview and handed over a bio-data of the firm to the interviewer. The bio-data contained details of:

- The firm's international affiliations.
- Personal achievements and awards of Mr. P as a tax expert.
- Notable clients handled by the firm.

Later, another partner, Mr. Q, published a congratulatory advertisement in a leading newspaper with his photograph on the occasion of opening a new branch office.

Further, M/s BAT & Co. was appointed as the statutory auditor of RST Ltd., a company covered under CARO 2020. While reporting under Paragraph 3 of CARO 2020 relating to property, plant and equipment, inventory, statutory dues, and borrowings, the audit team relied on system-generated MIS reports from the company's ERP system, and management representations confirming the accuracy and completeness of such information.

The audit team did not carry out independent verification of underlying records or evaluate the effectiveness of internal controls, on the assumption that consistency between MIS reports and management representations provides sufficient audit evidence.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Regarding the website "bat-ca.com", which of the following statements is correct under the Council General Guidelines, 2008?
 - (a) The firm is fully compliant because there is no restriction on website colours.
 - (b) The firm is in violation of guidelines because it uses "push" technology and discloses client names and fees without regulatory requirement.
 - (c) The website is compliant because disclosure of clients and fees is allowed on the firm's discretion.
 - (d) The firm is only liable if the website is used to actively solicit new clients.

2. In the given case, whether approach of audit team i.e., relying on written representation and MIS with respect to reporting under relevant Standards on Auditing and CARO 2020 is appropriate?
 - (a) The auditor's approach is appropriate since consistency between MIS reports and management representations is sufficient for compliance with SAs and CARO 2020 reporting.
 - (b) The auditor's approach is acceptable as reporting largely involves matters based on information and explanations provided by management during the audit.
 - (c) The auditor's approach is inappropriate because management representations and system-generated MIS cannot substitute independent audit procedures required for compliance with SAs and CARO 2020 reporting.
 - (d) The auditor's approach is justified unless there is a specific indication of fraud or material misstatement.

3. Whether Mr. P will be held guilty for professional misconduct for handing over the firm's bio-data during a TV interview under the Chartered Accountants Act, 1949 and Schedules thereto?
- (a) Yes, Mr. P will be held guilty of professional misconduct under Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949 because handing over bio-data promoting the firm and the partner's achievements indirectly solicits professional work.
 - (b) No, Mr. P will not be held guilty of professional misconduct as the partner did not personally read out the bio-data on TV.
 - (c) No, Mr. P will not be held guilty of professional misconduct as long as the bio-data was factual.
 - (d) Yes, Mr. P will be held guilty of professional misconduct under Clause (6) of Part I of the First Schedule to the Chartered Accountants Act, 1949 only if the TV channel ran advertisements alongside the bio-data.
4. Whether the publishing of the photograph by Mr. Q is permissible under the Chartered Accountants Act, 1949 and the Schedules thereto?
- (a) Yes, it is permissible as it merely conveys information about an event and does not amount to solicitation of professional work.
 - (b) Yes, it is permissible since the publication highlights personal credentials of the partner and does not involve advertisement of professional services.
 - (c) No, it is not permissible as it indirectly solicits professional work and promotes the partner and the firm and tantamount to professional misconduct.
 - (d) Yes, it is permissible provided the publication does not contain any reference to services rendered or fees charged.

CASE SCENARIO 25

Verma & Co. has been appointed as the central statutory auditor of Quick Trust Bank Ltd., a private sector bank registered with RBI, for F.Y. 2023–24.

Mr. Verma, the engagement partner, while examining the computation of DTL (Demand and Time Liabilities), raised his suspicion regarding the inclusion and exclusion of the following items:

Sr. No.	Particulars of Item	Inclusion/Exclusion
1	Amounts received in INR for disposal of import bills shown under Sundry Deposits	Inclusion
2	Net credit balance of Branch Adjustment Account	Inclusion
3	Amount received from ECGC by invoking the guarantee	Exclusion
4	Margins held and kept in sundry deposits for funded facilities.	Inclusion
5	Unaccounted inward remittances received on behalf of customers	Inclusion

During the course of audit, Verma & Co. also observed that one large advance account of the bank had no recovery of principal or interest for the past 18 months. The bank has not applied the NPA norms as well as income recognition norms to this particular account. When queried the bank management replied that this account was guaranteed by the central government and hence these norms were not applicable. The bank has not invoked the guarantee.

Additionally, Verma & Co. was offered Stock audit of a sister concern of Quick Trust Bank Ltd. for F.Y. 2023–24, and Branch audit of its Andheri Branch for F.Y. 2023–24 and Bandra Branch for F.Y. 2024–25, respectively.

Based on the above facts, answer the following MCQs:

MULTIPLE CHOICE QUESTIONS

1. Items at which serial number, as aforesaid, have been wrongly included or excluded for the computation of Demand and Time Liabilities?
 - (a) Items at which Sr. No. 1 & 4, respectively.
 - (b) Items at which Sr. No. 2, 3 & 5, respectively.
 - (c) Items at which Sr. No. 1 & 3, respectively.
 - (d) Items at which Sr. No. 3 & 5, respectively.
2. Whether the classification of advance and income recognition by Quick Trust Bank Ltd. is correct?
 - (a) The bank is incorrect in not classifying the advance as NPA and in continuing to recognize interest income, since guarantees do not affect IRAC norms.
 - (b) The bank is correct in not classifying the advance as NPA for provisioning purposes since the Central Government guarantee has not been repudiated, but interest income should not be recognized unless actually realized.
 - (c) The bank is correct in both not classifying the advance as NPA and in recognizing interest income on accrual basis due to Central Government guarantee.
 - (d) The bank should classify the advance as NPA only after 90 days of overdue irrespective of whether the guarantee is by Central or State Government.
3. Would the auditor's conclusion change if the advance, which has remained overdue for more than 18 months, was guaranteed by a State Government instead of the Central Government?
 - (a) Yes, since the special exemption from NPA classification is not available for State Government guaranteed advances, and the account would be treated as NPA after 90 days of overdue.
 - (b) Yes, but only income recognition norms would change, while asset classification would remain unaffected.

- (c) No, both Central and State Government guarantees are treated identically for asset classification and income recognition under RBI IRAC norms.
 - (d) No, the account would be classified as NPA only on invocation and repudiation of the State Government guarantee.
4. Whether Verma & Co. can accept the stock audit assignments, as aforesaid?
- (a) It can only accept the stock audit assignment of its Bandra Branch and its Andheri Branch.
 - (b) It can only accept the stock audit assignment of its Bandra Branch.
 - (c) It can only accept the stock audit assignment of the sister concern of Quick Trust Bank Ltd., its Bandra Branch as well as its Andheri Branch. However, it will require NOC from Quick Trust Bank Ltd. for accepting the stock audit assignment of its sister concern.
 - (d) It can only accept the stock audit assignment of the sister concern of Quick Trust Bank Ltd.

